



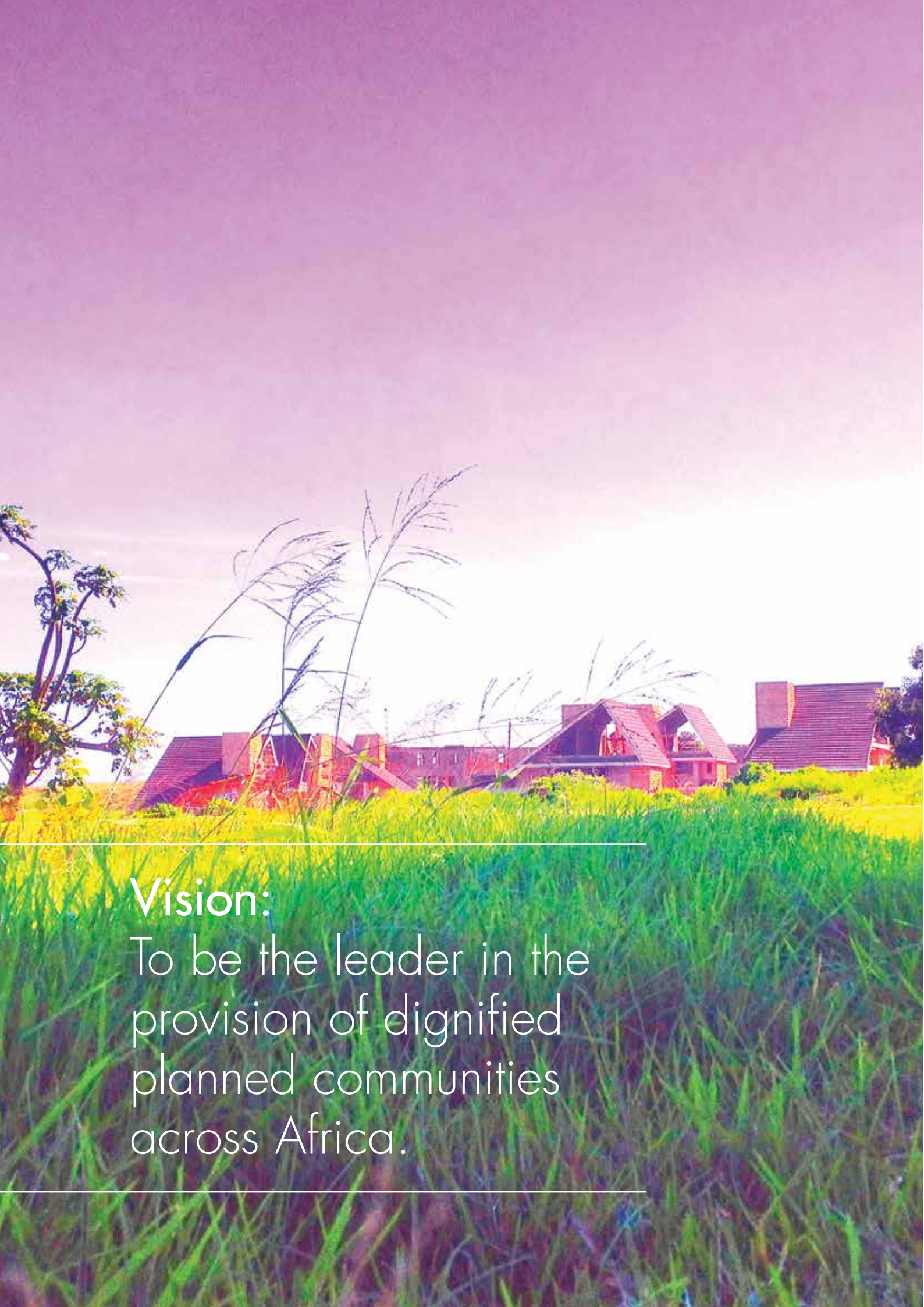
H O M E
A F R I K A

**Annual Report &
Financial Statements
2012**



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Vision:
To be the leader in the
provision of dignified
planned communities
across Africa.

COMPANY INFORMATION

BOARD OF DIRECTORS

: Lee Gituto Karuri
: Geoffrey Mbugua Kamau
: Lucie Wanjiku Maina
: Dan Ochieng Awendo
: Benjamin Mbira Gikonyo
: Jane Adam
: Ken Wathome
: Nyagah Boore Kithinji
: Gilbert Kibe
: Mbugua Gecaga

PRINCIPAL PLACE OF BUSINESS

: Morningside Office Park
: Ngong Road
: P.O. Box 6254, 00100
: NAIROBI

INDEPENDENT AUDITOR

: PKF Kenya
: Certified Public Accountants
: P.O. Box 14077, 00800
: NAIROBI

PRINCIPAL BANKERS

: Kenya Commercial Bank Limited
: NAIROBI

: I&M Bank Limited
: NAIROBI

: Equity Bank Limited
: NAIROBI

LEGAL ADVISORS

: Muriu Mungai & Company Advocates
: NAIROBI

: Wainaina Ireri & Co. Advocates
: NAIROBI

SUBSIDIARIES

: Home Afrika Communities Limited
: NAIROBI

: Mitini Scapes Development Limited
: NAIROBI

: Morningside Management Limited
: NAIROBI

: Lake View Heights Development Limited
: NAIROBI

: Llango Development Limited
: NAIROBI

: Kikwetu Development Limited
: NAIROBI

ASSOCIATE

: Morningside Office Park Limited
: NAIROBI

JOINT VENTURE

: Suburban Limited
: NAIROBI



Mission:

To address the housing
need in Africa

NOTICE OF THE ANNUAL GENERAL MEETING

Notice is hereby given that an Annual General Meeting of Home Afrika Limited will be held on 27th July, 2013 at Migaa - Kiambu at 8:30 am to transact the following business:

8:30 – 9:30am	Registration
9:30 – 9:35am	Opening Prayers
9:35 – 9:45am	Introductions and Welcome
9.45 – 9.50am	To read the Notice Convening the Meeting
9:50 – 10.00am	To adopt of the Minutes of the previous meeting held on 28th July, 2012
10:00 – 10:15am	To receive and adopt the Chairman’s Report
10:15 – 10:45am	To receive and consider and if found fit to approve the audited accounts for the year ended 31st December 2012.
10.45 – 11.00am	To confirm that the auditors, Messrs. PKF, Kenya, shall continue in office and to authorize the Directors to fix their remuneration in accordance with Section 159(2) of the Companies Act (Cap. 486).
11.00 – 11.30am	To consider and if deemed fit, pass the following as Special Resolutions:
	1. THAT the amendment of the Memorandum of Association of the Company by adding a new clause 3(kk)A in the following terms be and is hereby approved and ratified:-
	“To lend and advance money or give credit or guarantee or otherwise support or secure, either with or without the Company receiving any consideration or advantage and whether by personal covenant or by the issue of debentures, debenture stock perpetual or otherwise or by mortgaging or charging all or part of the undertaking property assets rights and revenues present and future and uncalled capital of the Company or by both such methods or by any other means whatsoever, the liabilities and obligations of and the payment of any moneys whatsoever (including but not limited to principal, interest and other liabilities of any borrowings or acceptance credits and capital, premiums, dividends, costs and expenses on any stocks, shares or securities) by any person, firm or company including but not limited to any company which is for the time being the holding company or a subsidiary or subsidiary undertaking (as defined by section 154 of the Companies Act) of the Company or of the Company’s holding company and that the giving and creation of any such guarantee, support or security is hereby constituted as one of the main objects of the Company”.
	2. THAT the amendment of the Articles of Association of the Company by adding a new Article 106A in the following terms be and is hereby approved and ratified:-
	“The Directors may exercise all the powers of the Company to guarantee and become sureties for the liabilities, the performance of contracts and the repayment of monies by any person, firm or company and to mortgage or charge its undertaking, property, assets, rights and revenues and uncalled capital or any part thereof and to issue and create debentures, debenture stock, mortgages, charges and other securities as security for any such guarantee or surety or any debt, liability or obligation of any third party.”
	3. That the Articles of Association be amended by deleting Clause 91 (a) and replacing the same with the following new Article: -
	“91. (a) Unless and until otherwise from time to time determined by a special resolution of the Company, the number of Directors (excluding alternates) shall not be less than seven (7) nor more than eleven (11) in number.”
12.00 – 12.25 pm	To transact any other business of the Company whose due notice has been given.
12.25 – 12.30 pm	Closing Prayers

By order of the Board



Esther Njiru – Omulele-Company Secretary
5th July, 2012

NOTICE OF THE ANNUAL GENERAL MEETING

NOTES

1. A member entitled to attend and vote at the above meeting and who is unable to attend is entitled to appoint a proxy to attend and vote on his or her behalf. A proxy need not be a member. A form of proxy may be obtained from the Company’s website To be valid, a form of proxy must be completed and signed by the member or his attorney duly authorized in writing and must be lodged at the offices of the Company or be posted so as to reach the Company not later than 48 hours before the meeting or any adjournment thereof.

If the appointer is a corporation, the instrument appointing the proxy shall be given under its common seal or under the hand of an officer or duly authorized attorney of such corporation.

2. A copy of this notice, the entire Annual Report & Accounts can be viewed on the Company’s website at homeafrika.com.



Core Values:
Passion, Respect, Innovation
Discipline Excellence &
Spirit of Teamwork

BOARD OF DIRECTORS



DIRECTORS PROFILE



Lee G. Karuri
Chairman - Home Afrika Ltd.

Mr. Lee Karuri is currently a Director at Dimensions Architects and Interior Designers, which has been a leading architectural firm in East and Central Africa since 1994.

His key responsibilities are to design projects, coordinate consultants and implement projects as team leader. As a project leader, he coordinates all the major activities on any given project, chairs site meetings, enforces contracts and attends to all client needs and requirements. He also ensures that the project standards, timelines and budgets are met.

An Architect for over 20 years, Mr. Karuri obtained his Bachelor's degree in Architecture from the University of Nairobi in 1989, and was thereafter registered as an Architect by the Board of Registration of Architects and Quantity Surveyors in 1993.

His strong leadership qualities have seen Lee hold various positions of authority within the industry. These include service as the Chairman of the Architectural Association of Kenya (1999 to 2001) and service on the Board of Registration of Architects and Quantity Surveyors (2001 – 2004). A born-again Christian, Mr. Karuri's faith and determination have enabled him achieve numerous other accomplishments within society, including the following:

- Served as Chairman of the Kenya Private Sector Alliance (KEPSA) which is the business umbrella body in Kenya (2005 – 2007).
- Honored by the State with Order of the Grand Warrior (OGW) by the President Mwai Kibaki for national services (2004).
- Served as the Executive Director of H.E President Mwai Kibaki's re-election campaign in 2007.



Dr. Mbira Gikonyo
Vice Chairman - Home Afrika Ltd.

Dr. Mbira is a consultant specialist medical practitioner in Nairobi. He runs a clinic in Nairobi, located at Landmark Plaza, where he specializes in Ear Nose and Throat (ENT) medicine, in addition to head and neck surgery.

He is also the founder and Director of Danica Hearing Centre, a state-of-the art Hearing Centre specializing in neuro-otology located at Upper Hill Medical Centre, Ground Floor.

His work experience includes:

KEMRI/CDC (Centre for Disease Control with KEMRI) 1991 – 1993 as a Research Officer; HASS Group in South Africa as their Chief Medical Director; Magnatone Inc, Phonak AG, Switzerland, and Fercom in Denmark.

Dr. Mbira also serves as a Director of several local and International Companies, including:

- HASS Southern Africa, a large South African medical group
- Institute of Surgical Medicine, a surgical supplies company
- Chairman of Angel Group, a real estate investment company

Dr Mbira's Medical and Management background make him a valuable asset to Home Afrika Limited as its Vice-Chairman.

DIRECTORS PROFILE



Mr. Gerald Chege
CEO - Home Afrika Ltd

Mr. Gerald Chege is the Group Chief Executive Officer of HAL and is a highly experienced operational executive with over 15 years of hands on experience. He holds an MBA in Finance and Strategy from Columbia Business School, with a Bachelor of Science degree in Agricultural Economics and Engineering and a Telco Engineering certification.

He has worked for MCI-WorldCom- a facility based provider of ICT in New York as Implementation Management Engineering Director covering global and government institutional accounts and focusing on technical support, customer retention, revenue realization and aggregation.

Furthermore, Mr. Chege worked as the Chief Finance Officer and President for Shasini Enterprise LLC, a real estate development concern in areas of investment and asset management, focusing on market strategy for Real Estate Investments, Business Development and Enterprise Growth.

His other areas of expertise include: structuring critical organizational and business requirements such as risk management, due diligence and investment opportunities analysis, Real asset management, Brand Development, Corporate Strategy, Business Compliance and Corporate Governance. He also has substantial knowledge in international business best practices, and use of technology and market information to innovate.

Prior to joining Home Afrika, Mr. Chege worked for StarTech Africa as the Chief Strategist and CEO, mandated with building the business through sourcing of finance and ensuring service delivery for the Kenya office, and charting a path for its entry to the entire Africa market.



Eng. Mbugua Kamau
Treasurer - Home Afrika Ltd

Eng. Kamau is 51 years old, married and a father of three. He has 26 years work and professional experience in Civil Engineering and Project Management in East Africa, UK and USA.

He holds a Bachelor of Science (Hons) Civil Engineering Degree from University of Nairobi, and an MBA Degree from Eastern & Southern Africa Management Institute (ESAMI). He is a Registered Engineer and a member of the Institute of Engineers of Kenya.

Eng. Kamau specializes in Business Development, Real Estate Development and Finance and Project Management.

He is the Executive Director and founder of Pinnacle Projects Ltd, a leading real estate project and finance management company. He has been instrumental in the construction of the new Kenya Commercial Bank headquarters of contract value of \$25 Million. As Chairman of Migaa Golf Residential Estate (valued at Kshs. \$ 275 Million), he has led the company to be the only real estate development company to have been awarded SuperBrands Status in East and Central Africa. As part of his strategic planning experience, Eng. Kamau is a key stakeholder in the Destination Master Planning of the Dunes of Mamburi Holiday Resort (1200 acre valued at Kshs. \$287 Million).

Eng. Kamau is also a Director of, Inter Alia, Jacaranda Holdings Ltd and Karume Holdings Ltd (Hospitality), Suburban Ltd, Mamburi Golf Resort Ltd, Investment Pursuits Ltd and Kitisuru Developments Ltd (Real Estate). He is Chairman of Home Afrika Communities Ltd, Liberty Homes Ltd, Club liberty Ltd (Real Estate), Solimpexs Africa Ltd (Energy) and Kenya Red Cross Society - Karen (Philanthropy).

DIRECTORS PROFILE



Name: Dan Awendo
Director - Home Afrika Ltd

Dan Awendo is the founder and Chief Executive Officer of Investeq Capital Ltd, a financier and adviser to small and medium sized businesses in Kenya and Uganda. The financing it offers includes Retail and SME Finance including Bid Bonds & Bank Guarantees, Structured Trade and Project Finance, Corporate Advisory Services among many other services. Mr. Awendo has been able to successfully develop and grow Investeq from a sole proprietorship into a public company multiplying the size of capital at inception by more than 100 times and now with more than 70 shareholders who trade their shares on the Over the Counter (OTC) market.

Mr. Awendo is a Certified Public Accountant of Kenya as well as a qualified financial analyst and consultant. He has participated in various professional courses during his career, including being one of 23 nationals from around the world, sponsored by the United States Department of State to a Small Business Development training program across five US States. Mr. Awendo was, during his study life, awarded the Deloitte & Touché Excellence Award for the Best National Student in Advanced Financial Accounting. In his professional career, he has also led Investeq to be recognized both continentally and locally as a pioneer and leading company under the African Entrepreneurship Awards, Africa SMME Awards and Kenya Institute of Management Businesses Award. He has also been feted by local Kenyan dailies as a CEO with Golden Hands (Nation Newspaper), High Impact Entrepreneur (Edge Magazine - Business Daily) and Captain of SME Industry (Standard Newspaper). Prior to founding Investeq, Mr. Awendo previously worked with:

- Loita Holdings Corporation Group as their Group Accountant and General Manager
- Dominion Consultants Group as their Senior Consultant - Finance and Information Management

Mr. Awendo enjoys various Professional memberships, including:

- Member - Institute of Certified Public Accountants of Kenya; and
- Member, Country Treasurer and Director of the Kenya Institute of Management

Mr. Awendo sits on the Finance & Administration Committee, and is an invaluable asset to Home Afrika Limited.



Name: Nyagah Boore Kithinji
Director - Home Afrika Ltd

Mr. Nyagah Kithinji is a partner in Costwise Associates, a Quantity Surveying and Project Management Consultancy Firm. He is also a Lecturer at the University of Nairobi.

His duties at the University, where he has been engaged for the past 21 years involve instructing undergraduate and post-graduate students in courses such as Construction Economics, Construction Law, Arbitration, Project Management, Contract Administration, Research Methods, and Professional Ethics. He has also coordinated undergraduate research.

Mr. Kithinji holds a Bachelor of Arts degree in Building Economics and a Masters in Building Management and has recently completed both his LL.B and LL.M in Construction Law at UNISA.

He is a Registered Quantity Surveyor with the Board of Registration of Architects and Quantity Surveyors and has been a practicing quantity surveyor for 24 years. His professional qualifications and research credentials provide a critical perspective of the real estate industry in Kenya that makes him an invaluable asset to Home Afrika Limited.

During the course of his professional career, Mr. Kithinji has gained membership of various professional associations, such as:

- Corporate member of the Architectural Association of Kenya
- Corporate member of the Institute of Quantity Surveyors of Kenya
- Associate of the Chartered Institute of Arbitrators (Kenya Branch)

Mr. Kithinji currently serves as Vice Chair in the Business Development Committee for Home Afrika Ltd, where he oversees and evaluates prospective projects for Home Afrika Ltd with the purpose of increasing revenues.

DIRECTORS PROFILE



Name: Lucie Maina
Director - Home Afrika Ltd

Lucie Maina is one of the initial founder members of Home Afrika Limited. She is also a founder member and the Executive Director of Angel Capital Limited - a mezzanine Finance Company. It mainly deals with real estate developments focused on the joint venture model currently building high end apartments.

Additionally, Lucie is the Senior Property Manager of Consolidated Bitumens Ltd, a private Real Estate Company which oversees over 40 rental units. She graduated from The College of Wooster, Ohio, USA, with a BA in Economics. She has expertise in the Real Estate sector in Kenya and also has excellent managerial, networking and fund raising skills that are an essential asset to the company.

Apart from serving at the main board of Home Afrika, Lucie also sits on the boards of Migaa, Lakeview Heights Ltd, Home Afrika Foundation and is the current Chair of Kivuli Golf Ltd.

Furthermore, Lucie is also passionately engaged in the sport of Golf, for which dedication has lead to her appointments to various positions, such as:

- Lady Golf Captain at Limuru Country Club in 1997
- Kenya Ladies Golf Union Committee from 1997-2002
- Chair Lady of the Kenya Ladies Golf Union in 2002
- Representing the Kenya Ladies golf team in Ivory Coast in 2002 and Zimbabwe in 2003
- Board Member at Muthaiga Golf Club from 2007-2008
- Currently - selector for the Kenya Ladies Golf team in 2013



Name: Gilbert Kibe
Director - Home Afrika Ltd

Mr. Gilbert Kibe is the Managing Director at Bahati Ridge Development an integrated residential, commercial, educational, medical and recreational project in Thika, as well as the Chief Executive at Nairobi Flight Training Ltd.

A trained pilot by profession Mr. Kibe has vast experience in the Aviation Management and Aerospace Industry. Mr. Kibe has worked in several capacities in the Aviation Management and Aerospace Industry including the following:

- Chairman - Eagle Aviation Ltd from 1986 - 1997
- Director - Kenya Civil Aviation Authority from 2003 - 2009
- CEO - Nairobi Flight Training Ltd 2007 to present
- Managing Director - Bahati Ridge 2010 to present

Mr. Kibe holds an MBA from Moi University and has acquired valuable skills and expertise in the Aviation and Airline Industry. Mr. Kibe is currently serving as Chair in the Business Development Committee for Home Afrika Ltd where he oversees and evaluates prospective projects for Home Afrika Ltd with the purpose of implementing the 'Go County' and 'Go Africa' Strategies.



Name: Mbugua Gecaga
Director - Home Afrika Ltd

Mr. Mbugua Gecaga is a Director at Mbambu Communications, Clomia Pty Ltd. Zimbabwe and Kiota Consultants.

A marketer by training, Mr. Gecaga has over 18 years of experience in the Marketing and Branding profession. Having worked with British American Tobacco in senior marketing positions in Kenya, Uganda, Ethiopia, Zimbabwe and the Indian Ocean Islands, Mr. Gecaga is well versed in strategic marketing.

Mr. Gecaga holds a BSc (Hons) from the University of Nairobi and an MBA from Henley Management College. Mr. Gecaga is currently serving in the Business Development Committee for Home Afrika Ltd where he oversees the business development opportunities for Home Afrika Ltd. He also ensures that Home Afrika Ltd is aligned strategically in relation to brand presence and market exposure.

DIRECTORS PROFILE



Mr. Ken Wathome
Director - Home Afrika Ltd

Mr. Ken Wathome is a registered and practicing Valuer by training, and a visionary resourceful Business and Professional Executive with strong interpersonal skills. Mr. Wathome is strategic, and effective in working with high performance teams in achieving exceptional results in competitive business environments.

Mr. Wathome has served in several Boards and managerial positions in International companies, involving leadership for key corporate initiatives. Ken Wathome has attended and accomplished several key achievements including:

- Graduated from the Harvard Business School's Owner President Management (OPM) Program - 2009 - 2001
- Spearheaded and provided leadership in the re-organising and repositioning of Food for the Hungry, a global non-profit operating in five continents 2005-2009
- Appointed to the position of Global Chairman of the organisation in 2009
- Successfully led the strategic merger of two medium-sized property consultancy firms to form NW Realite which is currently a respected player in the local property market.
- Serves as Board Chairman for Faulu Kenya a microfinance program through successful transformation from an NGO into a for-profit entity - 1999 to present
- Appointed to the International Board of Food for the Hungry International as the first African Board member - 2003 to present.

Mr. Wathome holds a Bachelor of Arts in Land Economics (Honors) from the University of Nairobi and is a registered and practicing valuer. He is a trained certificate holder of Corporate Governance from Commonwealth Association for Corporate Governance. Mr. Wathome was recently appointed on the Home Afrika Ltd Board in July 2012 and serves as Vice Chair of the Kikwetu Project in Athi River.



Mrs. Jane Adam
Director - Home Afrika Ltd

Jane Adam is the Managing Director and Founding Partner of Travel Collections, a travel agency focused on medical tourism providing medical checkups and treatments overseas at affordable costs. She is also a Director and Founding Partner at Nature Expeditions, a leading indigenous owned Tour Company in Kenya.

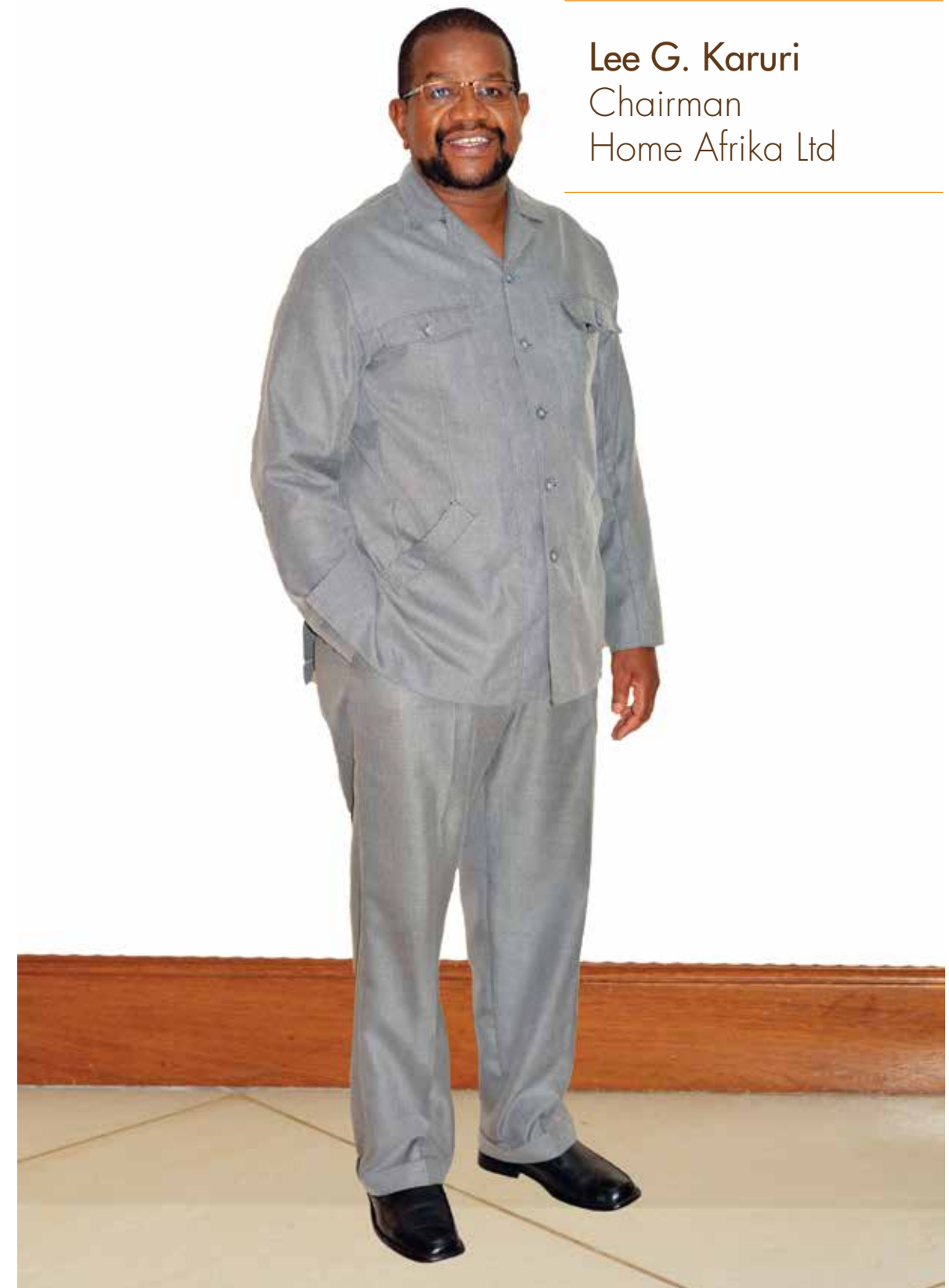
Jane has worked in the tours and hospitality industry for over 25 years. She was also involved in the formation of the Kenya Association of Women in Tourism (KAWT) that empowers women in the hospitality industry.

She holds a diploma in Hotel Management from Kenya Utalii College and a Bachelor Science degree in Hospitality and Tourism Management.

Jane is a Rotarian, having held various positions in country and district level. Her participation in community service is evident as she has been involved in environmental, mentoring and fund raising for community projects. She is married and has three children.

Jane Adam joined the Home Afrika Board in July 2012 and serves as Chairperson of the Home Afrika Foundation which coordinates Community Social Responsibility as well as oversees the Home Afrika members club. She was recently nominated for Africa's most influential women in business and government in 2013.

CHAIRMAN'S STATEMENT



Lee G. Karuri
Chairman
Home Afrika Ltd

CHAIRMAN’S STATEMENT (CONTINUED)

Dear Shareholders,

I am pleased to present to you the 2012 annual report and financial statements of Home Afrika Ltd, and the future plans of the company at a time when we also are celebrating five great years of impressive growth and promising outlook. Over the last one year (2012/2013), the Board of Directors and Management have worked towards implementing strategic objectives adopted in the previous Annual General Meeting.

During this period, the organization mainly focused in the following undertakings:

GO COUNTY PROGRAM

The devolved structures of the Government have given birth to new opportunities that the Company plans to engage in the “Go County” Program. This program is set to expand operations in the Counties, while facilitating creation of integrated master plans as well as increasing the socio-economic profiles in each County. Home Afrika will implement the Go County Program by setting up Regional Offices in the following regions:

- Central Region
- Eastern Region
- Rift Valley Region
- Coast Region
- Western Region
- Nairobi Region
- Northern Region

The regions will each have a development company - a subsidiary company of Home Afrika, which will be represented by a Board of Directors that shall be responsible for project expansion and supported by Regional Managers and Sales team. The regional office shall work under the direction of the Group Chief Executive Officer. Home Afrika appointed shareholders to the respective boards in a quarterly meeting held in April 2013. They include the following:

Region	Members
Central Region	Palmer Thambu – Chairman Motho Kimotho Dadson Mwaura Adam Njiru Priscilla Chege
Eastern Region	Dr. Mbira Gikonyo – Chairman Ken Wathome Harriet Wanjohi Nyagah Kithinji Mbugua Gecaga
Rift Valley Region	Daniel Chege – Chairman Gene Mugaki Jackson Waihenya Elizabeth Gitobu Phoebe Gitau
Coast Region	Ketan Shah – Chairman Geoffrey Luseno Pauline Ngugi Capt. Joe Gathecha George Waireri
Western Region	Steve Mallowah- Chairman Dan Awendo Lucie Maina Adon Ombura Anthony Murunga

CHAIRMAN’S STATEMENT (CONTINUED)

Nairobi Region	Mike Karanja – Chairman Dinesh Shah Richard Mambo Dr. Joseph Kahura Grace Mucheru
Northern Region	Kennedy Mbwoya - Chairman Jennifer Luseno Maryanne Bury Robert Mwaura

GO AFRICA PROGRAM

Home Afrika envisions its leadership in provision of planned communities across Africa. The “Go Africa” Program shall advance the establishment of mass housing projects across Africa. The Company has taken the following steps to launch its Africa campaign:

a) Home Afrika International

The Company has registered Home Afrika International which will be a Subsidiary Company and will be led by the Home Afrika Ltd Board for a period of one year. Growth into Africa Real Estate Market shall be spear headed by a new company, Home Afrika International. The existing Board of Home Afrika Ltd shall be the transitional Board for 1 year (July 2013 to July 2014) and there after a permanent Board will be elected.

b) Regions

Africa has been mapped into four regions in order to have a co-ordinated approach to the countries.

They are as follows:

Region	Regional Office
East and Central Africa	Nairobi
Southern Africa	Johannesburg
Western Africa	Abuja
Northern Africa	Cairo

c) Regional Boards

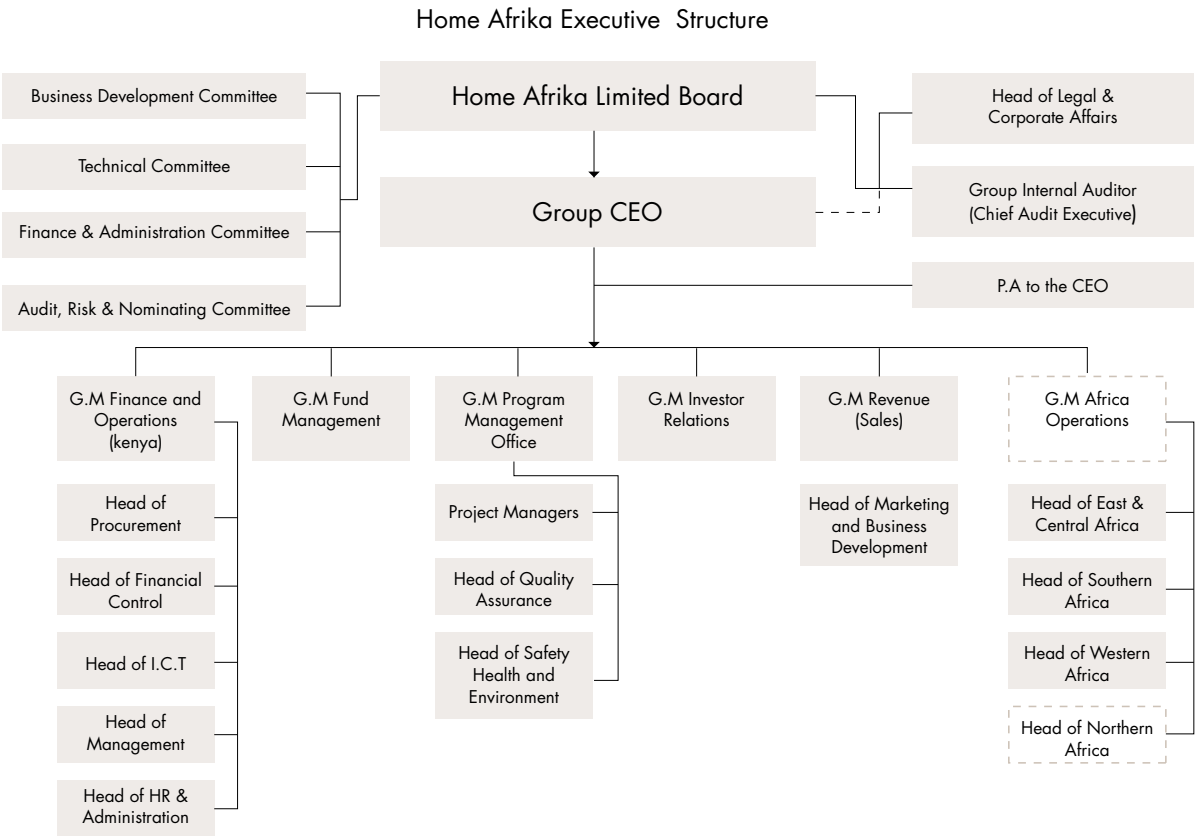
Home Afrika International Board’s mandate shall be supported by four Regional Boards who shall oversee business in the regions. Except for Northern Africa which shall be constituted in the near future, the members of the Regional Board are the following:

Region	Board Members
East and Central Africa	Dan Awendo
Southern Africa	Mbugua Gecega
Western Africa	Ken Wathome
Northern Africa	Future Nominations

CHAIRMAN'S STATEMENT (CONTINUED)

HOME AFRIKA ORGANIZATIONAL STRUCTURED & HUMAN RESOURCE DEVELOPMENT

Home Afrika appointed the services of PKF Consulting Limited as consultants to provide organizational review and human capital management services over a one year period. The organization structure as illustrated below captures the human capital strategy that will effectively support the sustainable growth of Home Afrika over the next five years.



HUMAN CAPITAL STRATEGY

The attraction, engagement and retention of high caliber staff is critical to the success of Home Afrika’s short and long term objectives. This recruitment process will fill critical roles at an executive level, and new roles based on the revised organization structure. The overall human capital management process will ensure alignment of the Human Capital Strategy to the overall 2012-2017 Strategic Plan.

STRATEGIC PLAN

The Company appointed Enreal Ltd who are experienced Consultants in Strategic Planning to review the Strategic Plans for the next five years (2013 – 2018).Home Afrika plans to build a 1 Billion Dollar Company (sales revenue) during the period.

Strategic guidelines projecting a further 5 years (2018-2023) after the initial 5 years have also been prepared. This enables Home Afrika to have a 10 Year Vision and to be a 10 Billion Dollar Company (sales revenue). Also, in the same period Home Afrika will have built 1 Million Homes across Africa.

The key areas of our Strategic Growth plan are the following:

- i. Land
- ii. Expansion
- iii. Innovation & Technology
- iv. Finance
- v. Human Capital
- vi. Service Excellence
- vii. Partnerships and,
- viii. Marketing

CHAIRMAN'S STATEMENT (CONTINUED)

PROJECTS

The company is currently undertaking the following projects:

PROJECT 1: MIGAA

Migaa is a development in Kiambu County, a greater Nairobi Metropolitan area. It is an Integrated Golf Estate on 774 acres of land. Migaa has embarked on infrastructure developments in phases which are under development. The project is being undertaken in stages with final completion projected for December 2016. Home Afrika owns 60% shareholding while our Joint Venture partners Linyanti Ltd own 20% and Tulip Trustee Ltd 20%.



Tamarind Tree Residence

CHAIRMAN'S STATEMENT (CONTINUED)

PROJECT 2: MITINI SCAPES DEVELOPMENT LTD

Mitini Scapes is located within Migaa Golf Estate on 14.4 acres of land and is a subsidiary wholly owned by Home Afrika Ltd. Mitini Scapes was incorporated in April 2011 with the sole purpose of spearheading the development of houses for sale at Migaa. The project is to be implemented in three (III) phases with construction works for phase one (I) commenced already. The construction work was awarded to Gokul Builders at a cost of KShs. 425 Million.

Currently approximately 40% of the construction work has been completed. The entire phase one (I) is projected to be completed by the end of December 2013. For this work, Mitini Scapes Development has already secured financing from I&M Bank to a tune of KShs. 325 Million. The Mitini Scapes Development Board, despite the challenges faced, is confident of delivering the project profitably by the projected due date.



Mitini Development

PROJECT 3: KIKWETU DEVELOPMENT LTD

Home Afrika plans to acquire 1,000 acres in Athi River, Machakos to develop an integrated community comprising of low and middle income housing and related amenities including commercial, education, health and recreational facilities. The 1,000 acres is located off Nairobi-Mombasa Highway, approximately 60km from Nairobi. The site is in an area that enjoys excellent road infrastructure with connectivity from JKIA International Airport networked by the Nairobi Mombasa Highways, Greater Northern Bypasses, Railway and Air.

The objective of this project is to provide affordable and quality housing for the low to middle income earners, and to provide facilities that will foster comfortable communal living, in that:

- Home Afrika aims to construct 20,000 housing units within the first 5 years - this will be achieved by leveraging existing construction technology to enhance construction speed.
- Home Afrika plans to roll out its flagship low cost product, a prototype house which it will sell to the public at approximately one million shillings - a major milestone in real Estate Development - considering the cost of land, design, statutory costs, infrastructure, legal fees and the like, plus a developer's profit.

The complete development will provide housing for a population of 50,000 - 80,000. The development shall be guided by a master plan for the entire site and will include the following phases:

- Development of single residential dwellings on ¼ acre lots on 100 acres
- Development of low income housing dubbed the KShs. 1 Million house (a low cost house priced at approx. USD 15,000 per unit) on 100 acres. This shall, when completed, contain 3,000 - 4,000 apartments.
- Development of single residential dwellings on ¼ acre plots on 300 acres sold with concepts for typo homes development.
- Development of town houses on 500 acres.

CHAIRMAN'S STATEMENT (CONTINUED)

Home Afrika has conducted Legal, Financial and Technical due diligence on the parcel of land at Athi River, which has been found to be suitable for implementation of this housing strategy. The indicative price per acre is KShs. 2 Million, which adds up to a total purchase price of KShs. 2 Billion. Home Afrika has completed conducting pre-feasibility studies on the project.



Kiwetu Features

PROJECT 4: LLANGO DEVELOPMENT LTD.

Llango is a new project that is part of the "Go County" expansion program. Located in Tiwi, Coast Region the project shall be a residential property on 44 acres of land that slopes towards the beach frontage land.

The development strategy for Llango is 50-50, that is, 50% of the land is being sold as Serviced Quarter Acre Plots and 50% of it is to be developed into homes constructed by Home Afrika Limited for sale to middle and upper income earners. A four acre plot has been set aside to be developed as a commercial development.

The Llango Project has begun working on the topographical survey which should be ready in mid-July 2013. This will facilitate the draft of a master plan which will be ready in early August 2013. Infrastructure Development shall commence in February 2014.



Llango Development

CHAIRMAN'S STATEMENT (CONTINUED)

PROJECT 5: LAKEVIEW HEIGHTS DEVELOPMENT LTD.

Lakeview Heights is a new project in Kisumu County on 72 acres of land in RIAT hills overlooking Lake Victoria, Kisumu City and the Airport. The project is part of the Go County Program and shall be an integrated residential estate. Lakeview Heights offers a choice of 90 well positioned serviced plots, of approximately quarter acre in size. The project offers scenic views of Lake Victoria, Kisumu International Airport and Kisumu City.

Residents are free to choose from a range of typo home designs created by a leading Architect. The development strategy is 50-50, with 50 % of the land sold as serviced plots and 50 % to be developed. A 5 acre plot shall be set aside for sale/development as a commercial plot. The ground breaking ceremony is scheduled for mid - August, 2013. Lakeview Heights have already developed the final master plan, survey and market feasibility study report. Infrastructure Development shall commence in February 2014.



Lakeview Heights

PROPOSED PROJECTS

As part of the Go County Program the following parcels of land have been identified for Development either through outright purchase or Joint Venture. The list is present below;

a) Full purchase Projects

	Place	County	Acreage	Cost Of Per Acre (Kshs.)	Total Cost (Kshs)
1	Mayungu	Kilifi	42	8 Million	336 Million
2	Mtaro Farm	Kiambu	855	3 Million	2.56 Billion
3	Rironi	Kiambu	385	10 Million	3.85 Billion
4	Kiembeni	Mombasa	60	7.5 Million	450 Million
5	Mutunda Farm	Nakuru	30	3 Million	90 Million
6	Lolwe Drive	Kisumu	20	21 Million	420 Million
7	Kasarani	Kiambu	26	25 Million	650 Million
8	Mariakani	Kilifi	1,000	500 Thousand	500 Million
9	Mavoko	Machakos	60	5 Million	300 Million
10	Ruiru	Kiambu	100	6 Million	600 Million
11	Thika	Kiambu	457	2 Million	900 Million

CHAIRMAN'S STATEMENT (CONTINUED)

b) Projects through Joint Venture

Place	County	Acreage	Cost Of Per Acre (Kshs.)	Total Cost (Kshs.)
Outspan	Nyeri	25	10 Million	250 Million

HOME AFRIKA FOUNDATION

a) Community Responsibility

Home Afrika Foundation was formed in September 2012, with a specific mandate on Community Responsibility Programs in order to impact positively on National Development, and also transform communities where projects are located, as well as transform lives of the less privileged members in our society.

b) Areas of Focus

The Home Afrika Foundation shall focus and create an impact on the following key areas;

1. Health
2. Education
3. Water & Sanitation
4. Orphans
5. Sports
6. Mentorship
7. Social Welfare for Home Afrika Shareholders.

c) Foundation Funding and Secretariat

The Foundation is funded by Home Afrika through 1.5% of its Sales Revenue. The Company is in the process of constituting a lean Secretariat headed by the Foundation Manager in order to deliver its mandate effectively.

d) The Home Afrika Foundation Board

The Foundation is fully owned by Home Afrika and has been registered with a Board of Directors who report to the Home Afrika Limited Board. The Foundation Manager will be responsible for managing the activities and shall report to the Group Chief Executive Officer of Home Afrika Ltd.

e) Activities of the Foundation

Home Afrika Foundation has been involved with various CSR Events since its inception which include:-

- i. Investors Conference for the Home Afrika Members Club - organizing and co-ordinating four successful Home Afrika Investor Club Conferences between October 2012 and May 2013 at the Intercontinental Hotel.
- ii. Annual visit to a Children's Home - visit with staff of Home Afrika Ltd and Subsidiary Companies to Stars of Jesus Children's Home in Riabai, Kiambu County. The Home Afrika family donated foodstuffs, clothes, and spent time with the children at the home.
- iii. Financial Support – The Home Afrika Foundation supported eight needy students of Stars of Jesus Children's Home with School Fees for Year 2013.
- iv. Medical Camp – the Home Afrika Foundation held its 1st medical camp on May 25th 2013 in partnership with Gertrude's Children's Hospital in Riabai Primary School Kiambu County. A total of 1300 people were examined and treated. The Medical Camp included full medical check-ups, cancer screening for both men and women, dental, ear and eye services, well baby clinic, lab services, VCT, family planning talks, food & nutrition awareness, diabetes screening and pharmacy. The aim of the Camp was to connect Home Afrika and its projects to the community for a cohesive neighborhood.

f) The Home Afrika Investors Club

The Home Afrika Investors Club was formed in September 2012. The main aim of this Club is to help the Home Afrika Shareholders network, undertake project Investments together and create synergy, partnerships and a shared vision in business. The member club targets to recruit 1,000 members by end of 2013. Current membership stands at 334.

CHAIRMAN’S STATEMENT (CONTINUED)

HOME AFRIKA FUND

Home Afrika is in the process of developing a KShs. 10 Million consolidated fund that shall finance all projects and subsidiaries needs in Kenya and across Africa.

Home Afrika has engaged experts to assist in the fundraising of the fund using various strategies that are in progress. The Home Afrika Ltd Finance Committee is responsible for spearheading this initiative.

HOME AFRIKA FINANCIAL SERVICES COMPANY

The Home Afrika Board has proposed the establishment of a Home Afrika Financial Services Company that shall facilitate buyer ability to purchase its homes. The Company shall be a subsidiary with a Board of Directors.

The company shall provide in-house mortgage opportunities for buyers, tenant purchase schemes and establish mortgage-backed asset securities.

The Home Afrika Finance Committee and the Group Chief Executive Officer are working on the guidelines of the establishment of the company within the next 3 months.

HOME AFRIKA CONSTRUCTION COMPANY

The Home Afrika Board proposed the establishment of a Construction Company that shall be a wholly owned Subsidiary to undertake Civil and Building Construction works on its Projects. The Company shall invest in Building Technologies which are critical for Construction capacity for Mass Housing.

Due to the scale of our Country Operations we shall be able to control budget, quality and time which are critical success factors of projects.

In the meantime, the Home Afrika Business Development Committee and the Group Chief Executive Officer are developing guiding principles for the establishment of the company within the next 3 months.

AFRICA CENTRE FOR BUILT ENVIRONMENT

Home Afrika is positioning itself to be the leader in provision of sustainable planned communities and affordable housing across Africa. In order to provide the leadership, Home Afrika will need to invest heavily in knowledge, research and technology in addition to advocating for housing policies across Africa.

In order to undertake this responsibility and also to have the capacity to partner with National, Continental and Global Organizations championing Research and Development for Sustainable Built Environment, Home Afrika has proposed the establishment of the Africa Centre for Built Environment. This shall be our Resource Centre and Knowledge Academy whose research shall be applied on our projects across the continent, shared with other developers and partners and used to prepare Advocacy papers for National Housing policy changes for African Governments, State and County Governments and Local Authorities.

The Company shall be registered as a separate subsidiary with its own secretariat, funded by Home Afrika, and research grants from other organizations. A Board of Directors shall also be constituted.

The Home Afrika Board of Directors and the Group Chief Executive Officer are preparing establishment guidelines that shall be ready within three months.

LISTING ON THE GROWTH ENTERPRISE MARKET SEGMENT (GEMS)

Home Afrika Shareholders resolved to host the Company on the newly created Growth Enterprise Market Segment (GEMS) of the Nairobi Securities Exchange (NSE) from July 2013. The purpose of Listing as part of the 5 Year Strategic Plan (2013-2018) is as follows:

- i) Price discovery for the shareholders.
- ii) Invite the public to enjoy and be part of the Home Afrika success.
- iii) Create opportunities for Home Afrika to raise funds for development from the Capital Markets.
- iv) Enhance brand value and stature of Home Afrika.

CHAIRMAN’S STATEMENT (CONTINUED)

SHAREHOLDER VALUE OF GROWTH

Home Afrika has continued to grow the company worth and shareholder value. In the Valuation undertaken three months ago by PKF, Home Afrika value now stands at KShs. 8.5 Billion. This is a major growth over 5 years and a success story for our shareholders and for Kenya.

GOVERNANCE AND MEETING OF THE COMPANY

The Boards of Directors have governed the company to the highest Corporate Governance Standards. We continue to aspire to continuously improve our level and skill in the Boards Committees and Management.

SHAREHOLDERS MEETINGS

The shareholders meeting are held four times every year - that is: January, April, July and October respectively. The Annual General AGM meeting is held during the month of July every year.

BOARD OF DIRECTORS

The Board of Directors meets once a month on the second Monday of every month, in order to provide policy, direction and leadership to the company.

BOARD COMMITTEES

- The two Board Committees listed below are very active and meet at least once every month;
- i. Business Development Committee and,
 - ii. Finance & Administration Committee.

SUBSIDIARY BOARDS

- The project Boards listed below continue to meet at least twice a month to oversee our projects;
- i. Migaa
 - ii. Mitini
 - iii. Llango
 - iv. Lake View
 - v. Kikwetu

AUDIT RISK LEGAL AND THE NOMINATING COMMITTEE

The Audit, Risk, Legal and the Nominating Committee is an independent Shareholder Committee that has continued to discharge their duties with diligence. Home Afrika Board have accorded them co-operation and support in order to ensure best practice in managing our Company.

HOME AFRIKA PARTNERS FORUM

Home Afrika has continued to engage other high influence organizations for co-operation and partnerships in order to advance our Vision and receive added value from them in implementing our plans in Kenya and in Africa.

The organizations range from International, Continental to National and share similar objectives as Home Afrika. The first partner to sign a partnership agreement with our Company is Shelter Afrique, which is a major milestone of endorsement. We are looking forward to establishing more partnerships with other major organizations.

This has required that we provide for a half year partners forum to meet and review progress of our joint objectives. However this shall not be a legal organization.

CHAIRMAN'S STATEMENT (CONTINUED)

COMPANY PREMISES

The new organizational developments require additional Human Capital. Subsequently Home Afrika has proposed to acquire additional space on the 6th Floor of Morningside Office Park to cater for the needs of the Company.

MEMBERS OF BOARDS AND COMMITTEES

The following is a schedule of the leadership of Home Afrika Board of Directors, Board Committees, Subsidiary Company Project Board and the Home Afrika Foundation.

HOME AFRIKA BOARD & COMMITTEE MEMBERS	
HOME AFRIKA BOARD	
NAME	POSITION
Lee Karuri	Chairman
Dr Mbira Gikonyo	Vice-Chairman
Eng Mbugua Kamau	Treasurer
Lucie Maina	Director
Nyagah Kithinji	Director
Mbugua Gecaga	Director
Gilbert Kibe	Director
Dan Awendo	Director
Ken Wathome	Director
Jane Adam	Director
HOME AFRIKA COMMUNITIES BOARD	
NAME	POSITION
Eng Mbugua Kamau	Chairman
Robert Muchoki	Managing Director
Dr. Mbira Gikonyo	Director
Steve Gichohi	Director
Mike Karanja	Director
Lucie Maina	Director
Ann Kirima	Director
Michael Matimu	Director
MORU RIDGE LIMITED(SUBSIDIARY HACL)	
NAME	POSITION
Eng Mbugua Kamau	Chairman
Robert Muchoki	Managing Director
Dr. Mbira Gikonyo	Director
Steve Gichohi	Director
Mike Karanja	Director
Lucie Maina	Director
Ann Kirima	Director
Michael Matimu	Director

CHAIRMAN'S STATEMENT (CONTINUED)

MITINI SCAPES DEVELOPMENT BOARD	
NAME	POSITION
Boniface Kamau	Chairperson
Geoffrey Kamau	Member
Winnie Ngumi	Member
Jack Waihenya	Member
Mbugua Gecaga	Member
Barth Ragalo	Member
Susan Kasinga	Member
SUBURBAN BOARD	
NAME	POSITION
Dr Mbira Gikonyo	Chair
Eng Mbugua Kamau	Member
Dan Awendo	Member
Geoffrey Luseno	Member
ATHI-RIVER PROJECT	
NAME	POSITION
Dr Mbira Gikonyo	Chair
Ken Wathome	Vice Chair
Nyagah Kithinji	Member
Mbugua Gecaga	Member
Harriet Wanjohi Kahugu	Member
TIWI PROJECT	
NAME	POSITION
Ketan Shah	Chair
George Waireri	Member
Geoffrey Luseno	Member
Pauline Ngugi	Member
Captain Joe Gathecha	Member
RIAT PROJECT	
NAME	POSITION
Steve Mallowah	Chair
Dan Awendo	Member
Lucie Maina	Member
Anthony Murunga	Member
Adon Ombura	Member
HAL FINANCE/ADMIN COMMITTEE	
NAME	POSITION
Eng Mbugua Kamau	Chair
Dan Awendo	Member
Susan Kasinga	Member
Boniface Kamau	Member
Nyagah B. Kithinji	Member(co-opted)
Dr. Mbira Gikonyo	Member

CHAIRMAN'S STATEMENT (CONTINUED)

HAL BUSINESS DEVELOPMENT COMMITTEE	
NAME	POSITION
Gilbert Kibe	Chair
Dan Awendo	Member
Capt Joe Gathecha	Member
Nyaga Kithinji	Member
Dan Chege	Member
Mbugua Gecaga	Member
HAL AUDIT, RISK LEGAL COMMITTEE	
NAME	POSITION
Peter Kanaiya	Chair
Rose Nkonge	Member
Muciimi Mbaka	Member
Ken Kanyarati	Member
Nazima Malik	Member
Dr. Njoroge Keige	Member
HAL FOUNDATION BOARD	
NAME	POSITION
Jane Adam	Chair
Lucie Maina	Member
Dinesh Shah	Member
Dr.Sanjeev Sharma	Member
Dadson Mwaura	Member
Moses Mwaura	Member

CHAIRMAN'S STATEMENT (CONTINUED)

HOME AFRIKA INVESTMENTS COMPANY

Home Afrika Strategic Plan for the ten years (2013 - 2023) anticipates huge growth of the company to a 10 Billion Dollar Company (Sales Revenue) by 2023.

Subsequently Home Afrika Board of Directors has proposed the establishment of Home Afrika Investments Company. This shall create opportunity for Home Afrika to set aside some of its earnings from its growth to diversify and invest in other sectors of the African Economy. This shall include the following emerging economic sectors

- i) Infrastructure
- ii) Energy
- iii) Oil & Gas
- iv) Telecommunications
- v) Mining
- vi) Financial Services
- vii) Agriculture

LIST OF CONSORTIUM OF CONSULTANTS

Home Afrika Ltd has during the year engaged with highly experienced consultants to assist in the development of the company.

Consultant	Services
PKF Kenya	Group External Auditors Human Capital & Organizational Development
Enreal Ltd	Strategic Planning
Brand Integrated Consulting	Brand Strategy Development
Redhouse PR	Public Relations
Kenya Professional Realtors Association (KPRA)	Sales and Marketing Training
Knight Frank	Market Research - Go County Program
Mboya Wangong'u & Waiyaki Company Advocates	Finance Mobilization
Muriu Mungai & Company Advocates	Legal Advisors
NIC Capital	Nominated Advisor (NOMAD)
NIC Securities	Lead Broker (GEMS)
Co-op Bank	Share Registrars
Suntra Investment Bank	Finance Mobilization
Marketing Communication Limited (MCL)	Advertising Agency

FIVE YEAR CELEBRATIONS

Currently, we celebrate the end of our first five years which has formed the foundations of our company and posted huge growth. It also ends our first five years strategic plan and marks the beginning of the next 10 years. We salute the hard work of all the boards of directors, committees, subsidiary boards, foundation board, shareholders, management and staff, as well as all our customers and partners during this occasion.

Let me take this opportunity to acknowledge our Almighty God as our provider in our success as we celebrate 5 years. We continue to pray for Blessings of our Lord Jesus Christ for our company, shareholders, staff and the customers we serve.

May you all be blessed, and best wishes for all your endeavors and to your families.

Thank You



Arch. Lee G. Karuri. OGW
Chairman Home Afrika Ltd

REPORT OF THE DIRECTORS

The directors submit their report and the audited financial statements for the year ended 31 December 2012, which disclose the state of affairs of the group.

PRINCIPAL ACTIVITY

The principal activity of the group is that of real estate development in housing and commercial properties.

	Group		Company	
RESULTS	2012 Shs	2011 Shs	2012 Shs	2011 Shs
Profit/(loss) before tax	257,849,696	(285,099,283)	52,098,922	5,019,677
Tax (charge)/credit	(90,169,745)	85,975,423	(17,056,472)	9,420,866
Profit/(loss) for the year	<u>167,679,951</u>	<u>(199,123,860)</u>	<u>35,042,450</u>	<u>14,440,543</u>

SHARE CAPITAL

The authorised share capital of the company was increased on 25 October 2012 from Shs. 300,000 representing 3,000 ordinary shares of Shs. 100 each to Shs. 500,000,000 representing 50,000,000 ordinary shares of Shs. 10 each.

The issued and paid up share capital of the company was increased on 31 December 2012 from Shs. 204,000 to Shs. 405,255,320 by issuance of 40,525,532 shares of shs. 10 each.

DIVIDEND

During the year, an interim dividend of Shs.100,000 per share (2011: Shs.50,000 per share), amounting to a total of Shs. 28,997,000 (2011: Shs. 9,850,000) was paid.

DIRECTORS

The directors who held office during the year and to the date of this report are shown on page 1. In accordance with the company's Articles of Association, no director is due for retirement by rotation.

INDEPENDENT AUDITOR

PKF Kenya was appointed during the year and has indicated willingness to continue in accordance with Section 159(2) of the Companies Act (Cap. 486).

BY ORDER OF THE BOARD



DIRECTOR
NAIROBI

25th June 2013

AUDIT, RISK, LEGAL, COMPLIANCE AND THE NOMINATION COMMITTEE REPORT

The board revised the responsibilities of the audit committee to include legal, compliance and Nomination roles which was in line with increased expansion of the company business and going public.

The Audit, Risk, Legal and Compliance committee has been able to undertake its mandate by carrying out the following responsibilities:

- Review and recommend the appointment (or reappointment) of an independent auditor.
- Conduct a post-audit review of the financial statements and audit findings, including any significant suggestions or improvements provided to the management by the independent auditor.
- To review and examine the scope of consolidation and all draft financial statements and related reports which are submitted to the Board for approval.
- To review with Management and the external auditors the generally accepted accounting principles used in the preparation of the accounts including the review of alternative accounting principles, as well as any change in accounting principles, methods or rules while ensuring that such principles are still relevant
- To review the auditing process of annual financial statements and consolidated financial statements as carried out by the external auditors, and the independence of such external auditors.
- To examine Management's presentation on risk exposure (including legal risks) and significant off-balance sheet commitments and contingencies at the time of the Committee's review of the financial statements.
- To review and recommend engagement proposals for the various consultants engaged by the company.
- The committee has also been mandated to vet and recommend appointment of new members of committees and board.
- The committee has also nominated its members as representatives to the various boards and committees to better understand their operations and guide on governance and controls.
- The committee has also been mandated to handle the remuneration for all committees.

During the year under review 2012/2013 the committee was able to interview, negotiate the terms and recommend the appointment of PKF as the group external auditor. It was also able to review the legal documents relating to the formation of the Home Afrika Foundation and Home Afrika Investors Club.

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Companies Act (Cap. 486) requires the directors to prepare consolidated financial statements which give a true and fair view of the state of affairs of the company and its subsidiary as at the end of the financial year and of the operating results for that year. It also requires the directors to ensure that the group maintains proper accounting records which disclose with reasonable accuracy the financial position of the group. The directors are also responsible for safeguarding the assets of the group.

The directors accept the responsibility for the consolidated financial statements which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, consistent with previous years, and in conformity with International Financial Reporting Standards' and the requirements of the Companies Act (Cap. 486). The directors are of the opinion that the consolidated financial statements give a true and fair view of the state of the financial affairs of the group as at 31 December 2012 and of its operating results for the year then ended. The directors further confirm the accuracy and completeness of the accounting records maintained by the group which have been relied upon in the preparation of the consolidated financial statements, as well as on the adequacy of the systems of internal financial controls.

Nothing has come to the attention of the directors to indicate that the group will not remain a going concern for at least the next twelve months from the date of this statement.

Approved by the board of directors on 25th June 2013 and signed on its behalf by:



DIRECTOR



DIRECTOR

REPORT OF THE INDEPENDENT AUDITOR TO THE MEMBERS OF HOME AFRIKA LIMITED

REPORT ON THE FINANCIAL STATEMENTS

We have audited the accompanying consolidated financial statements of Home Afrika Limited (the "company") and its subsidiaries (collectively referred to as the "Group"), set out on pages 37 to 60 which comprise the statement of financial position as at 31 December 2012 and the statement of profit or loss, statement of changes in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

DIRECTORS' RESPONSIBILITY FOR THE FINANCIAL STATEMENTS

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the Companies Act, Cap 486, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

AUDITOR'S RESPONSIBILITY

Our responsibility is to express an opinion on these consolidated financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risk of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

OPINION

In our opinion, the consolidated financial statements give a true and fair view of the financial position of Home Afrika Limited and its subsidiaries as at 31 December 2012, and of its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Companies Act (Cap. 486).

REPORT OF THE INDEPENDENT AUDITOR TO THE MEMBERS OF HOME AFRIKA LIMITED (CONTINUED)

REPORT ON OTHER LEGAL REQUIREMENTS

As required by the Companies Act (Cap. 486) we report to you, based on our audit, that:

- (i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- (ii) in our opinion proper books of account have been kept by the group, so far as appears from our examination of those books; and
- (iii) the company and group's consolidated balance sheet and profit and loss account are in agreement with the books of account.



Certified Public Accountants
Nairobi

PIN NO. P051130467R

28th June 2013

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

		2012	2011
	Notes	Shs	Shs
Revenue	1	839,116,340	520,476,605
Cost of sales		(331,897,043)	(491,793,544)
Gross profit		507,219,297	28,683,061
Other operating income	2	5,083,007	1,709,441
Selling and distribution		(42,427,279)	(103,254,922)
Administrative expenses		(110,572,075)	(113,248,953)
Other operating expenses		(21,577,619)	(20,713,448)
Operating profit/(loss)	3	337,725,331	(206,824,821)
Finance costs	5	(79,875,635)	(78,274,462)
Profit/(loss) before tax		257,849,696	(285,099,283)
Tax (charge)/credit	6	(90,169,745)	85,975,423
Profit/(loss) for the year		167,679,951	(199,123,860)
Total comprehensive income/(loss) for the year		167,679,951	(199,123,860)
Profit/(loss) attributable to:			
- Owners of the parent		94,592,746	(134,846,581)
- Non-controlling interest		73,087,205	(64,277,279)
		167,679,951	(199,123,860)
Earnings/(loss) per share			
- basic	7	4.67	(88,714.86)

The notes on pages 42 to 60 form an integral part of these financial statements.

Report of the independent auditor - pages 35 and 36.

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER

	Notes	2012 Shs	2011 Shs
CAPITAL EMPLOYED			
Share capital	8	405,255,320	204,000
Share premium	10	68,842,038	456,718,358
Accumulated deficit		(84,332,213)	(140,077,959)
Shareholders' funds		389,765,145	316,844,399
Non-controlling interests		(20,426,174)	(93,513,779)
		369,338,971	223,330,620
Non-current liabilities			
Preference share capital	9	150,000,000	150,000,000
Deposit for shares	23(iv)	50,748,500	-
Borrowings	11	39,864,777	36,964,286
		240,613,277	186,964,286
		609,952,248	410,294,906
REPRESENTED BY			
Non-current assets			
Property and equipment	13	895,744,891	770,256,338
Intangible asset	14	236,503	472,770
Goodwill on consolidation	15	74,284,247	74,284,247
Financial asset	17	2,000	-
Deferred tax	12	12,458,035	86,185,796
		982,725,676	931,199,151
Current assets			
Inventories	18	1,271,606,432	1,332,691,238
Trade and other receivables	19	114,326,433	50,797,669
Cash and cash equivalents	20	153,078,889	63,589,864
Tax recoverable		-	9,862,431
		1,539,011,754	1,456,941,202
Current liabilities			
Deposits payable		440,659	440,659
Trade and other payables	21	1,748,715,788	1,456,021,170
Borrowings	11	157,247,262	521,383,618
Tax payable		5,381,473	-
		1,911,785,182	1,977,845,447
Net current liabilities			
		(372,773,428)	(520,904,245)
		609,952,248	410,294,906

The financial statements on pages 37 to 60 were approved and authorised for issue by the Board of Directors on 25th June 2013 and were signed on its behalf by:

DIRECTOR

DIRECTOR

The notes on pages 42 to 60 form an integral part of these financial statements.
Report of the independent auditor - pages 35 and 36.

COMPANY STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER

	Notes	2012 Shs	2011 Shs (Restated)	2010 Shs (Restated)
CAPITAL EMPLOYED				
Share capital	8	405,255,320	204,000	100,000
Share premium	10	68,842,038	456,718,358	338,585,764
Retained earnings		590,187	4,394,737	5,839,288
		474,687,545	461,317,095	344,525,052
Non-current liabilities				
Borrowings	11	32,940,490	36,964,286	-
		507,628,035	498,281,381	344,525,052
REPRESENTED BY				
Non-current assets				
Property and equipment	13	112,321,104	114,651,968	56,541,083
Investment in subsidiaries	16	74,696,247	74,494,247	74,334,247
Financial asset	17	2,000	-	-
Trade and other receivables	19	267,900,000	267,900,000	-
Deferred tax	12	78,635	9,653,413	-
		454,997,986	466,699,628	130,875,330
Current assets				
Inventories	18	45,000,000	75,000,000	75,000,000
Trade and other receivables	19	142,216,309	51,371,943	315,788
Cash and cash equivalents	20	50,136,994	5,142,700	145,191,003
Tax recoverable		-	3,859,818	-
		237,353,303	135,374,461	220,506,791
Current liabilities				
Deposits payable		440,659	440,659	440,659
Trade and other payables	21	174,860,864	96,923,480	1,717,353
Borrowings	11	6,888,558	6,428,569	-
Tax payable		2,533,173	-	4,699,057
		184,723,254	103,792,708	6,857,069
Net current assets				
		52,630,049	31,581,753	213,649,722
		507,628,035	498,281,381	344,525,052

The financial statements on pages 37 to 60 were approved and authorised for issue by the Board of Directors on 25th June 2013 and were signed on its behalf by:

DIRECTOR

DIRECTOR

The notes on pages 42 to 60 form an integral part of these financial statements.
Report of the independent auditor - pages 35 and 36.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

		Ordinary Share capital Shs	Share premium Shs	Retained earnings Shs	Non controlling interests Shs	Total Shs
Year ended 31 Dec 2011	Notes					
At start of year		-	-	-	-	-
Prior year adjustment		-	-	-	-	-
- Share holders funds	10	-	320,937,264	10,653,715	-	331,590,979
- Minority interest funds		-	-	-	4,863,500	4,863,500
Prior year adjustment:						
- Reclassification of misspostings from share premium account		-	15,885,093	(15,885,093)	-	-
As restated		-	336,822,357	(5,231,378)	4,863,500	336,454,479
Total comprehensive income for the year		-	-	(134,846,58)	(64,277,279)	(199,123,860)
Transactions with owners:						
Dividend paid to minority interest		-	-	-	(34,140,000)	(34,140,000)
Issue of ordinary share capital		100,000	120,000,001	-	40,000	120,140,001
Transfer from share premium account		104,000	(104,000)	-	-	-
At end of year		204,000	456,718,358	(140,077,959)	-93,513,779	223,330,620
Year ended 31 Dec 2012						
At start of year		204,000	456,718,358	(140,077,959)	(93,513,779)	223,330,620
Total comprehensive income for the year		-	-	94,592,746	73,087,205	167,679,951
Transactions with owners:						
Issue of shares		-	17,175,000	-	400	17,175,400
Transfer from share premium account	10	405,051,320	(405,051,320)	-	-	-
Dividend:						
- Final for 2011 (paid)		-	-	(9,850,000)	-	(9,850,000)
- Interim for 2012 (paid)		-	-	(28,997,000)	-	(28,997,000)
At end of year		405,255,320	68,842,038	(84,332,213)	(20,426,174)	369,338,971

The notes on pages 42 to 60 form an integral part of these financial statements.
Report of the independent auditor - pages 35 and 36.

CONSOLIDATED STATEMENT OF CASH FLOWS

	Notes	2012 Shs	2011 Shs
Operating activities			
Cash from operations	22	642,163,388	383,312,694
Interest paid		(78,471,405)	(62,743,212)
Tax paid		(1,198,080)	(20,260,135)
Net cash from operating activities		562,493,903	300,309,347
Investing activities			
Cash paid for purchase of property and equipment	13	(126,156,372)	(672,616,159)
Cash paid for purchase of intangible assets	14	-	(708,800)
Reversal of interest on loan facility to expense		2,426,007	-
Proceeds from disposal of property and equipment		981,106	550,000
Interest received		1,218,016	1,052,818
Investment in associates		(2,000)	-
Net cash used in investing activities		(121,533,243)	(671,722,141)
Financing activities			
Net movement in bank loan		(372,770,174)	195,023,904
Proceeds from shareholders loan		1,400,000	-
Dividend paid		(38,847,000)	(34,140,000)
Proceeds from issue of share capital		400	40,000
Proceeds from share premium		8,000,000	120,000,001
Proceeds from deposits for shares		50,748,500	-
Net cash (used in)/from financing activities		(351,468,274)	280,923,905
Increase/(decrease) in cash and cash equivalents		89,492,386	(90,488,889)
Movements in cash and cash equivalents			
At start of year		63,589,864	154,210,003
Increase/(decrease)		89,492,386	(90,488,889)
Effect of exchange rate changes		(3,361)	(131,250)
At end of year	20	153,078,889	63,589,864

The notes on pages 42 to 60 form an integral part of these financial statements.
Report of the independent auditor - pages 35 and 36.

NOTES: SIGNIFICANT ACCOUNTING POLICIES

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

a) Basis of preparation

The consolidated financial statements have been prepared under the historical cost convention, except as indicated otherwise below and are in accordance with International Financial Reporting Standards (IFRS).

These financial statements comply with the requirements of the Kenyan Companies Act. The statement of profit or loss and statement of comprehensive income represent the profit and loss account referred to in the Act. The statement of financial position represents the balance sheet referred to in the Act.

(i) New and amended standards adopted by the company

The group has applied the amendments to IAS 1 presentation of items of other comprehensive income in advance of the effective date. The amendments introduce new terminology for the statement of comprehensive income and income statement. Under the amendments to IAS 1, the 'statement of comprehensive income' is renamed the 'statement of profit or loss and other comprehensive income' and the 'income statement' is renamed the statement of profit or loss'. The effective date is for annual periods beginning on or after 1 July 2012.

(ii) New standards, amendments and interpretations issued but not effective for the financial year beginning 1 January 2012 and not adopted in advance of the effective date.

International Financial Reporting Standard 10 (IFRS 10) on 'Consolidated Financial Statements' builds on existing principles by identifying the concept of control as the determining factor in whether an entity should be included within the consolidated financial statements of the parent company. The standard provides additional guidance to assist in the determination of control where this is difficult to assess. Adoption is mandatory from 1 January 2013 although early adoption is permissible.

The group has assessed the impact of implementing IFRS 10 and expects no significant change in the method of accounting.

International Financial Reporting Standard 11 (IFRS 11) on 'Joint Arrangements' outlines the accounting treatments for entities that jointly control an arrangement. The standard replaces the current IAS 31 on Joint Ventures. Adoption is mandatory from 1 January 2013 although early adoption is permissible.

The group has not assessed the potential impact of IFRS 11 on its consolidated financial statements.

International Financial Reporting Standard 12 (IFRS 12) on 'Disclosures of Interests in Other Entities' enhances the disclosure requirements about an entity's interests in subsidiaries, joint arrangements, associates and unconsolidated 'structured entities'. Adoption is mandatory from 1 January 2013 although early adoption is permissible.

The group has not assessed the potential impact of IFRS 12 on its consolidated financial statements.

IFRS 9, 'Financial instruments', addresses the classification, measurement and recognition of financial assets and financial liabilities. IFRS 9 requires financial assets to be classified into two principal measurement categories: those measured as at fair value and those measured at amortised cost. The company is yet to assess IFRS 9's full impact and intends to adopt IFRS 9 no later than the accounting period beginning on or after 1 January 2015.

NOTES: SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

a) Basis of preparation (continued)

Amendments to IFRS 7 and IAS 32: The amendments to IAS 32 clarify existing application issues relating to the offset of financial assets and financial liabilities requirements. Specifically, the amendments clarify the meaning of 'currently has a legally enforceable right of set-off and simultaneous realization and settlement.

The amendments to IFRS 7 require entities to disclose information about rights of offset and related arrangements for financial instruments under an enforceable master netting agreement or similar arrangement.

The amendments to IFRS 7 are effective for annual periods beginning on or after 1 January 2013 with retrospective disclosures for all comparative periods. However, the amendments to IAS 32 are not effective until annual periods beginning on or after 1 January 2014, with retrospective application required.

The group has not assessed the potential impact of the changes to IFRS 7 and IAS 32 on its consolidated financial statements.

International Financial Reporting Standard 13 (IFRS 13) on 'Fair Value Measurement' - The standard aims to improve consistency and reduce complexity by providing a more precise definition and a single source of measurement and disclosure requirements. Adoption is mandatory from 1 January 2013 although early adoption is permissible.

The group has not assessed the potential impact of IFRS 13 on its consolidated financial statements. There are no other IFRSs or IFRIC interpretations that are not yet effective that would be expected to have a material impact on the company.

b) Revenue recognition

Revenue comprises the fair value of the consideration received or receivable for the sale of goods and/or performance of services, in the ordinary course of business and is stated net of Value Added Tax (VAT), rebates and discounts.

The company recognises revenue when the amount of revenue can be reliably measured, it is probable that future economic benefits will flow to the entity and when the specific criteria have been met for each of the company's activities as described below. The amount of revenue is not considered to be reliably measured until all contingencies relating to the sale have been resolved.

The company bases its estimates on historical results, taking into consideration the type of customer, type of transaction and specifics of and specifics of each arrangement.

- i) Revenue from sale of land and office suites are recognised upon the execution and transfer of land title deeds to the buyer having paid the full purchase price.
- ii) Interest income is recognised on a time proportion basis using the effective interest method.
- iii) Dividend income is recognised if declared before the financial statements are authorised for issue.
- (iv) Rental income is accrued by reference to time on a straight line basis over the lease term.

c) Significant judgements made by management in applying the company's accounting policies

Management has made the following judgements that are considered to have the most significant effect on the amounts recognised in the financial statements:

- Revenue from sale of plots is recognised upon execution of the agreement of sale between the buyer and the seller and the buyer having paid the full purchase price of the plot.

NOTES: SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

d) Investment in subsidiaries/consolidation

Subsidiaries are all entities (including special purpose entities) over which the group has the power to govern the financial and operating policies generally accompanying a shareholding of more than one half of the voting rights. The existence and effect of potential voting rights that are currently exercisable or convertible are considered when assessing whether the group controls another entity.

The group also assesses the existence of control where it does not have more than 50% of the voting rights power but is able to govern the financial and operating policies of a subsidiary. Control may arise in circumstances where the size of the group's voting rights relative to the size and dispersion of holdings of other shareholders give the group the power to govern the financial and operating policies.

Inter-company transactions, balances, income and expenses on transactions between group companies are eliminated. Profits and losses resulting from inter-company transactions that are recognised in assets are also eliminated. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the group.

e) Property and equipment

All property and equipment is initially recorded at cost and thereafter stated at historical cost less depreciation. Historical cost comprises expenditure initially incurred to bring the asset to its location and condition ready for its intended use. Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the company and the cost can be reliably measured. The carrying amount of the replaced part is derecognised. All other repairs and maintenance are charged to profit or loss during the financial year in which they are incurred.

Depreciation on all other assets is calculated on the reducing balance basis method to write down the cost of each asset, or the revalued amount, to its residual value over its estimated useful life using the following annual rates:

	Rate %
Buildings	2.5 (straight line)
Motor vehicles	25.0
Furniture and fittings	30.0
Office equipment	12.5
Computer equipment	12.5

The assets residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposal of property, plant and equipment are determined by comparing the proceeds with the carrying amount and are taken into account in determining operating profit/loss.

NOTES: SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

f) Intangible assets

Intangible assets with finite useful lives that are acquired separately are carried at cost less accumulated amortisation and accumulated impairment losses. Amortisation is recognised on a straight-line basis over their estimated useful lives. The estimated useful life and amortisation method are reviewed at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis. Intangible assets with indefinite useful lives that are acquired separately are carried at cost less accumulated impairment losses.

g) Financial instruments

Financial assets and financial liabilities are recognised when the group becomes a party to the contractual provisions of the instrument. Management determines all classification of financial assets at initial recognition.

- Financial assets

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss.

The company's financial assets fall into the following categories:

- **Available-for-sale:** financial assets that are held for an indefinite period of time, which may be sold in response to needs for liquidity or changes in interest rate. Such assets are classified as non-current assets except where the management intends to dispose the assets within 12 months of the reporting date. Subsequent to initial recognition, they are carried at fair value with gains or losses are recognised in other comprehensive income, net of deferred tax.

Interest on available-for-sale securities is calculated using the effective interest method and is recognised in profit or loss as part of other income. Dividends on available-for-sale equity instruments are also recognised in profit or loss as part of other income when the group's right to receive payments is established.

- **Loans and receivables:** financial assets with fixed or determinable payments that are not quoted in an active market. Such assets are classified as current assets where maturities are within 12 months of the reporting date. All assets with maturities greater than 12 months after the reporting date are classified as non-current assets. Subsequent to initial recognition, they are carried at amortised cost using the effective interest method. Changes in the carrying amount are recognised in profit or loss.

Purchases and sales of financial assets are recognised on the trade date i.e. the date on which the company commits to purchase or sell the asset. Financial assets are derecognised when the rights to receive cash flows from the assets have expired or have been transferred and the company has transferred substantially all risks and rewards of ownership.

A financial asset is impaired if its carrying amount is greater than its estimated recoverable amount. Impairment of financial assets is recognised in the statement of comprehensive income under administrative expenses when there is objective evidence that the company will not be able to collect all amounts due per the original terms of the contract. Significant financial difficulties of the issuer, probability that the issuer will enter bankruptcy or financial reorganisation, default in payments and a prolonged decline in fair value of the asset are considered indicators that the asset is impaired.

NOTES: SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

g) Financial instruments (continued)

- Financial assets (continued)

The amount of the impairment loss is calculated as the difference between the assets carrying amount and the present values of expected future cash flows, discounted at the financial instrument's effective interest rate.

Subsequent recoveries of amounts previously written off/impaired are credited to profit or loss/ other comprehensive income in the year in which they occur.

Unquoted investments are classified as 'available-for-sale' financial instruments. Where fair values cannot be reliably measured these investments are carried at cost less provision for impairment.

Cash in hand and balances with financial institutions, trade and other receivables and tax recoverable and are classified as loans and receivables and are carried at amortised cost.

Management classify the fair values of financial assets based on the qualitative characteristics of the fair valuation as at the financial year end. The three hierarchy levels used by management are:

- **Level 1:** where fair values are based on non-adjusted quoted prices in active markets for identical financial assets.
- **Level 2:** where fair values are based on adjusted quoted prices and observable prices of similar financial assets.
- **Level 3:** where fair values are not based on observable market data.

- Financial liabilities

- **Financial liabilities measured at amortised cost :** These include borrowings, current tax and trade and other payables. These are initially measured at fair value and subsequently measured at amortised cost, using the effective interest rate method.

Borrowings are initially recognised at fair value, net of transaction costs incurred and are subsequently stated at amortised cost. Any difference between the proceeds (net of transaction costs) and the redemption value is recognised as interest expense in profit or loss under finance costs.

All financial liabilities are classified as current liabilities unless the company has an unconditional right to defer settlement of the liability for at least 12 months after the reporting date.

Financial liabilities are derecognised when, and only when, the company's obligations are discharged, cancelled or expired.

h) Inventories

Inventories comprise of land and units held for sale and is stated at the lower of cost and net realisable value. Cost is determined by the first-in-first-out (FIFO) basis and comprises all costs attributable to purchase of the land and cost of construction.

Where the land is held for trading, the land is reclassified from finance lease to inventory. The risks and rewards of ownership of the land are transferred buyers on conclusion of sale.

i) Cash and cash equivalents

For the purposes of the cash flow statement, cash and cash equivalents comprise cash in hand and deposits held at call with banks.

NOTES: SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

j) Share capital

Ordinary shares are classified as equity. Mandatorily redeemable preference shares are classified as liabilities.

k) Share premium

Share premium represents the amount received by the company over the par value of the ordinary shares issued.

l) Dividend

Proposed dividends are disclosed as a separate component of equity until declared. Dividends are recognised as a liability in the period in which they are approved by the group's shareholders.

m) Taxation

Current tax

Current tax is provided on the results for the year, adjusted in accordance with tax legislation.

Deferred tax

Deferred tax is provided using the liability method for all temporary timing differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred tax. Deferred tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which temporary timing differences can be utilised.

n) Accounting for leases

The group as lessee

Leases of assets where the group assumes substantially all the risks and rewards of ownership, are classified as finance leases. Assets held under finance leases are initially recognised as assets of the Group at their fair value at the inception of the lease or, if lower, at the present value of the minimum lease payments. The corresponding liability to the lessor is included in the consolidated statement of financial position as a finance lease obligation.

Lease payments are apportioned between finance expenses and reduction of the lease obligation so as to achieve a constant rate of interest on the remaining balance of the liability. Finance expenses are recognised immediately in profit or loss, unless they are directly attributable to qualifying assets, in which case they are capitalised in accordance with the Contingent rentals are recognised as expenses in the periods in which they are incurred.

Such property, plant and equipment is depreciated over its useful life.

o) Retirement benefit obligations

The group and its employees contribute to the National Social Security Fund (NSSF), a statutory defined contribution scheme registered under the NSSF Act. The company's contributions to the defined contribution scheme are charged to profit or loss in the year to which they relate. The company has no further obligation once the contributions have been paid.

p) Comparatives

Where necessary, comparatives figures have been adjusted to conform with changes in presentation in the current year. In particular, comparatives have been adjusted to comply with the requirements of International Accounting Standards 2 on 'Inventories'. A prior year adjustment has also been passed in the share premium account to correct an error relating to a wrong entry passed in the account in prior periods.

NOTES (CONTINUED)

	Group	
	2012 Shs	2011 Shs
1. Revenue		
Sale of plots	497,050,000	-
Sale of office suites	342,066,340	513,419,280
Project management fees	-	7,057,325
	<u>839,116,340</u>	<u>520,476,605</u>
2. Other operating income		
Gross rental income	3,328,800	-
Interest earned	1,218,016	1,052,818
Other income	413,728	519,123
Gain on disposal of property and equipment	122,463	137,500
	<u>5,083,007</u>	<u>1,709,441</u>
3. Operating profit/(loss)		
The following items have been charged in arriving at operating profit/(loss):		
Depreciation on property and equipment (Note 13)	7,517,478	4,361,334
Amortization of intangible assets (Note 14)	236,267	236,030
Auditors' remuneration		
- current year	2,034,000	2,734,112
- under provision in prior years	188,000	-
Staff costs (Note 4)	<u>45,547,868</u>	<u>31,674,452</u>
4. Staff costs		
Salaries and wages	42,805,181	31,437,452
Other staff costs	2,569,087	150,000
Pension costs:		
- National Social Security Fund	<u>173,600</u>	<u>87,000</u>
	<u>45,547,868</u>	<u>31,674,452</u>
5. Finance costs		
Interest expense:		
- borrowings	73,628,555	56,243,212
- Commitment fees	4,842,850	6,500,000
- Guarantee	-	15,400,000
- finance leases	1,400,869	-
Exchange difference	<u>3,361</u>	<u>131,250</u>
	<u>79,875,635</u>	<u>78,274,462</u>
6. Tax		
Current tax	16,441,984	237,717
Deferred tax charge/(credit) (Note 12)	<u>73,727,761</u>	<u>(86,213,140)</u>
Tax charge/(credit)	<u>90,169,745</u>	<u>(85,975,423)</u>

NOTES (CONTINUED)

	Group	
	2012 Shs	2011 Shs
6. Tax (continued)		
The tax on the group's profit/(loss) before tax differs from the theoretical amount that would arise using the basic rate as follows:		
Profit/(loss) before tax	<u>257,849,696</u>	<u>(285,099,283)</u>
Tax calculated at a tax rate of 30% (2011: 30%)	77,354,909	(85,529,785)
Tax effect of:		
- expenses not deductible for tax purposes	1,422,985	692,279
- income not subject to tax	-	(1,326,853)
- under provision in prior years	106,718	(10,053,108)
- tax losses carried forward	<u>11,285,133</u>	<u>10,242,044</u>
Tax charge/(credit)	<u>90,169,745</u>	<u>(85,975,423)</u>
7. Earnings/(loss) per share		
Earnings/(loss) per share is calculated by dividing the net profit/(loss) attributable to shareholders by the weighted average number of ordinary shares in issue during the year.		
	2012 Shs	2011 Shs
Net profit/(loss) attributable to shareholders	<u>94,592,746</u>	<u>-134,846,581</u>
Weighted average number of ordinary shares	<u>20,245,193</u>	<u>1,520</u>
Earnings/(loss) per share	<u>4.67</u>	<u>-88,714.86</u>
8. Share capital		
	2012 Shs	2011 Shs (Restated)
Authorised:		
50,000,000 (2011:3,000) ordinary shares of shs. 10 (2011: Shs. 100) each	<u>500,000,000</u>	<u>300,000</u>
Issued and fully paid:		
40,525,532 (2011: 2,040) ordinary shares of Shs. 10 (2011: shs.100) each	<u>405,255,320</u>	<u>204,000</u>
The issued and fully paid shares had previously been taken as 3,500,000 shares amounting to Shs. 350,000,000. As per the statutory records, the issued and paid up capital are 20,400 shares at shs.10 each totalling to Shs. 204,000. A prior year adjustment has been passed to reclassify the difference to share premium.		
The company's authorised and issued share capital were increased. The following change was made:		
-The authorised share capital of the company was increased on 25 October 2012 from Shs. 300,000 representing 3,000 ordinary shares of Shs. 100 each to Shs. 500,000,000 representing 50,000,000 ordinary shares of Shs. 10 each.		
-The issued and paid up share capital of the company was increased on 31 December 2012 from Shs. 204,000 to Shs. 405,255,320 by issuance of 40,525,532 shares of Shs. 10 each.		
9. Preference share capital		
	2012 Shs	2011 Shs
Cumulative redeemable 1,500,000 preference shares of shs. 100 each	<u>150,000,000</u>	<u>150,000,000</u>
The preference shares are redeemable at par value on or after 31 December 2012.		

NOTES (CONTINUED)

10. Share premium

	Group and company	
	2012 Shs	2011 Shs
At start of the year	456,718,358	320,937,264
Additional premium on sale of shares during the year	17,175,000	120,000,001
Conversion to share capital account	(405,051,320)	(349,900,000)
Reclassification from share capital account	-	349,796,000
Prior year adjustment	-	15,885,093
	<u>68,842,038</u>	<u>456,718,358</u>

A prior year adjustment was done due to an incorrect entry in the share premium.

11. Borrowings

	Group		Company	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
The borrowings are made up as follows:				
Non-current				
Bank loan	30,535,706	36,964,286	30,535,706	36,964,286
Finance leases	7,929,071	-	2,404,784	-
Shareholders' loan	1,400,000	-	-	-
	<u>39,864,777</u>	<u>36,964,286</u>	<u>32,940,490</u>	<u>36,964,286</u>
Current				
Bank loan	155,042,024	521,383,618	6,428,580	6,428,569
Finance leases	2,205,238	-	459,978	-
	<u>157,247,262</u>	<u>521,383,618</u>	<u>6,888,558</u>	<u>6,428,569</u>
	<u>197,112,039</u>	<u>558,347,904</u>	<u>39,829,048</u>	<u>43,392,855</u>

The borrowings are secured by the following:

- (i) I & M Bank Loan
- Joint and several personal guarantees and indemnities of an amount of Shs.45,000,000 each executed by the directors.
 - First legal charge/mortgage for an amount of Shs.45,000,000 over property known as Office Suite 2 (Pent house), 5th floor on L.R. No. 2/704, Ngong Road, Nairobi.
 - First legal charge/mortgage for an amount of Shs.400,000,000 over property L.R. No.2/689 registered in the name of Morningside Properties Limited.
 - Fixed and floating debenture for an amount of Shs.400,000,000 over all the assets of Suburban Limited.
 - Corporate guarantee and indemnity for Shs.400,000,000 executed by Home Africa Limited, Morningside Development Limited, Investeq Capital Limited and Morningside Properties Limited
 - Joint and several personal guarantees and indemnities for an amount of Shs.400,000,000 each to be executed by the directors.
- (ii) Equity Bank Loan
- First legal charge of Kshs.100,000,000 over the property Nos HC01, PDS F01, F02, F03, F04, F05, F06, F07 and F09 all being portions carved out of title IR No. 133694 LR No. 29059.
 - Corporate guarantee by Home Africa Limited for Shs. 100,000,000.
 - Corporate guarantee by Tulip Trustee Company Limited for Shs. 100,000,000.
 - Corporate guarantee by Linyanti Limited for Shs. 100,000,000.

NOTES (CONTINUED)

11. Borrowings (continued)

	Group		Company	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
Weighted average effective interest rates at the reporting date were:				
Bank borrowings	21.5%	19.5%	19.5%	19.5%
Finance lease liabilities	<u>23.2%</u>	<u>-</u>	<u>24.0%</u>	<u>-</u>

The carrying amounts of the company's borrowings are denominated in Kenya shillings.

Maturity based on the repayment structure of non-current borrowings (excluding finance lease liabilities and shareholders loan) is as follows:

	Group		Company	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
Between 1 and 2 years	12,857,160	12,857,160	12,857,160	12,857,160
Between 2 and 5 years	<u>17,678,546</u>	<u>24,107,126</u>	<u>17,678,546</u>	<u>24,107,126</u>
	<u>30,535,706</u>	<u>36,964,286</u>	<u>30,535,706</u>	<u>36,964,286</u>
Gross finance lease liabilities - minimum lease payments				
Not later than 1 year	3,463,732	-	979,660	-
Later than 1 year and not later than 5 years	<u>9,604,864</u>	<u>-</u>	<u>3,206,160</u>	<u>-</u>
Total gross finance leases	13,068,596	-	4,185,820	-
Future interest expense on finance leases	<u>(2,934,287)</u>	<u>-</u>	<u>(1,321,058)</u>	<u>-</u>
Present value of finance leases	<u>10,134,309</u>	<u>-</u>	<u>2,864,762</u>	<u>-</u>
Present value of finance leases - minimum lease payments				
Not later than 1 year	2,205,238	-	459,978	-
Later than 1 year and not later than 5 years	<u>7,929,071</u>	<u>-</u>	<u>2,404,784</u>	<u>-</u>
	<u>10,134,309</u>	<u>-</u>	<u>2,864,762</u>	<u>-</u>

NOTES (CONTINUED)

12. Deferred tax

Deferred tax is calculated, in full, on all temporary timing differences under the liability method using a principal tax rate of 30% (2011: 30%). The movement on the deferred tax account is as follows:

	Group	
	2012 Shs	2011 Shs
At start of year	(86,185,796)	27,344
Charge/(credit) to profit or loss (Note 6)	73,727,761	(86,213,140)
At end of year	(12,458,035)	(86,185,796)

Deferred tax (assets) and liabilities, deferred tax charge/(credit) to other comprehensive income and deferred tax charge/(credit) in profit or loss are attributable to the following items:

	At start of year Shs	Charge/(credit) to profit or loss Shs	At end of year Shs
Deferred tax assets			
Property and equipment	(710,053)	(132,344)	(842,397)
Tax losses carried forward	(85,475,743)	73,860,105	(11,615,638)
Net deferred tax asset	(86,185,796)	73,727,761	(12,458,035)

	Company	
	2012 Shs	2011 Shs (Restated)
At start of year	(9,653,413)	-
Charge/(credit) to profit or loss	9,574,778	(9,653,413)
At end of year	(78,635)	(9,653,413)

Company (continued)

	At end of year Shs	At start of year Shs	Prior year adjustment Shs	As restated Shs	Charge/(credit) to profit or loss Shs
Deferred tax assets					
Property and equipment	-	-	-	(78,635)	(78,635)
Tax losses carried forward	-	(9,653,413)	(9,653,413)	9,653,413	-
Net deferred tax asset	-	(9,653,413)	(9,653,413)	9,574,778	(78,635)

NOTES (CONTINUED)

13. Property and equipment

Group

Year ended 31 December 2012

	Work in progress Shs	Building Shs	Motor vehicles Shs	Computer equipment Shs	Furniture and fittings Shs	Office equipment Shs	Total Shs
Cost							
At start of year	652,803,749	107,758,474	650,000	2,798,420	10,372,182	2,483,269	776,866,094
Reclassification to expense	-	-2,426,007	-	(129,000)	(878,106)	-	(2,426,007)
Disposal	-	-	7,200,860	533,100	878,106	8,033,865	(1,007,106)
Additions	119,644,750	-	-	-	-	-	136,290,681
At end of year	772,448,499	105,332,467	7,850,860	3,202,520	10,372,182	10,517,134	909,723,662
Depreciation							
At start of year	-	3,254,112	162,500	1,176,901	1,511,797	504,446	6,609,756
Disposal	-	-	-	(38,700)	(109,763)	-	(148,463)
Charge for the year	-	2,613,095	1,922,090	596,076	1,093,828	1,292,389	7,517,478
At end of year	-	5,867,207	2,084,590	1,734,277	2,495,862	1,796,835	13,978,771
Net book value	772,448,499	99,465,260	5,766,270	1,468,243	7,876,320	8,720,299	895,744,891

Year ended 31 December 2011

	Work in progress Shs	Building Shs	Motor vehicles Shs	Computer equipment Shs	Furniture and fittings Shs	Office equipment Shs	Total Shs
Cost							
At start of year	-	56,547,000	550,000	977,895	954,731	770,309	59,799,935
Additions	652,803,749	51,211,474	650,000	1,820,525	9,417,451	1,712,960	717,616,159
Disposal	-	-	(550,000)	-	-	-	(550,000)
At end of year	652,803,749	107,758,474	650,000	2,798,420	10,372,182	2,483,269	776,866,094
Depreciation							
At start of year	-	1,413,675	137,500	405,175	227,040	202,532	2,385,922
Disposal	-	-	(137,500)	-	-	-	(137,500)
Charge for the year	-	1,840,437	162,500	771,726	1,284,757	301,914	4,361,334
At end of year	-	3,254,112	162,500	1,176,901	1,511,797	504,446	6,609,756
Net book value	652,803,749	104,504,362	487,500	1,621,519	8,860,385	1,978,823	770,256,338

NOTES (CONTINUED)

13. Property and equipment (continued)

Company

Year ended 31 December 2012

	Building Shs	Motor vehicles Shs	Computer equipment Shs	Furniture and fittings Shs	Office equipment Shs	Total Shs
Cost						
At start of year	107,758,474	-	1,894,495	8,506,830	2,214,119	120,373,918
Reclassification to expense	(2,426,007)	-	-	-	-	(2,426,007)
Disposal	-	-	(129,000)	-	-	(129,000)
Additions	-	3,594,860	412,900	878,106	523,905	5,409,771
At end of year	105,332,467	3,594,860	2,178,395	9,384,936	2,738,024	123,228,682
Depreciation						
At start of year	3,254,112	-	778,751	1,235,107	453,980	5,721,950
Disposal	-	-	(38,700)	-	-	(38,700)
Charge for the year	2,613,095	898,715	408,283	1,018,729	285,506	5,224,328
At end of year	5,867,207	898,715	1,148,334	2,253,836	739,486	10,907,578
Net book value	99,465,260	2,696,145	1,030,061	7,131,100	1,998,538	112,321,104

Year ended 31 December 2011

	Building Shs	Motor vehicles Shs	Computer equipment Shs	Furniture and fittings Shs	Office equipment Shs	Total Shs
Cost						
At start of year	56,547,000	-	629,695	707,150	770,309	58,654,154
Additions	51,211,474	-	1,264,800	7,799,680	1,443,810	61,719,764
At end of year	107,758,474	-	1,894,495	8,506,830	2,214,119	120,373,918
Depreciation						
At start of year	1,413,675	-	300,575	196,289	202,532	2,113,071
Charge for the year	1,840,437	-	478,176	1,038,818	251,448	3,608,879
At end of year	3,254,112	-	778,751	1,235,107	453,980	5,721,950
Net book value	104,504,362	-	1,115,744	7,271,723	1,760,139	114,651,968

Buildings amounting to Shs. 44,540,133 have been pledged as security against borrowings as disclosed in Note 10.

	Group		Company	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
Reconciliation of additions during the year				
Additions acquired by cash payments	126,156,372	672,616,159	2,250,971	16,719,764
Additions acquired through borrowings	10,134,309	45,000,000	3,158,800	45,000,000
	136,290,681	717,616,159	5,409,771	61,719,764

NOTES (CONTINUED)

13. Property and equipment (continued)

Included in property and equipment are the following assets where the company is a lessee under a finance lease:

	Motor vehicles Shs 2012
Cost	3,594,860
Accumulated depreciation	898,715
Net book value	2,696,145

The company leases the motor vehicle under non-cancellable finance lease arrangements. The lease terms is 5 years and the ownership of the assets lies within the company.

14. Intangible assets - software

	Group	
	2012 Shs	2011 Shs
At start of year	708,800	-
Additions - Website cost	-	708,800
At end of year	708,800	708,800
Accumulated amortisation		
At start of year	236,030	-
Amortisation for the year	236,267	236,030
At end of year	472,297	236,030
Carrying amount	236,503	472,770

15. Goodwill on consolidation

At cost	74,284,247	74,284,247
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The goodwill arose from acquisition of a subsidiary, Suburban Limited, which is treated as a subsidiary because the company governs its financial and operating policies.

Goodwill has been allocated for impairment testing purpose to the cash generating unit, the inventory of the subsidiary company. The unit continues to generate positive cash flows. The recoverable cash is based on the current market trends in the real estate industry.

The cash flows from the generating unit are based on the expected return on capital invested at a rate of up to 100%. Management is of the opinion that any possible reasonable change in these assumptions would not cause the carrying amount to exceed the recoverable amount.

16. Investments in subsidiaries

	Company	
	2012 Shs	2011 Shs (Restated)
Mitini Scapes Development Limited	100,000	100,000
Suburban Limited	74,334,247	74,334,247
Lakeview Heights Development Limited	100,000	-
Home Afrika Communities Limited	100,000	-
Kikwetu Limited	60,000	60,000
Morningside Office Park Limited	2,000	-
At end of year	74,696,247	74,494,247

A prior year adjustment has been passed to reclassify shs. 75,000,000 previously carried as an investment in Home Afrika Communities Limited which was actual price paid for plots. This has now been disclosed as inventory.

NOTES (CONTINUED)

17. Financial asset

Available-for-sale	Incorporation		Group and company 2012 Shs	2011 Shs
Morningside Office Park Limited	Kenya	12%	2,000	-

18. Inventories

	2012 Shs	Group 2011 Shs	2012 Shs	Company 2011 Shs (Restated)
Plots held for sale	626,356,035	643,475,926	45,000,000	75,000,000
Units held for sale	158,495,729	413,364,498	-	-
Work in progress	486,754,668	275,850,814	-	-
	<u>1,271,606,432</u>	<u>1,332,691,238</u>	<u>45,000,000</u>	<u>75,000,000</u>

19. Trade and other receivables

Non current				
Receivables from related parties (Note 23(iii))	-	-	267,900,000	267,900,000
Current				
Trade receivables	48,000,000	10,000,000	48,000,000	-
Other receivables	44,640,085	23,742,616	3,987,808	1,842,583
Deposits and prepayments	630,412	585,139	237,239	585,139
Shareholders account	602,000	100,000	-	-
Due from directors	5,735,500	-	-	-
Receivables from related parties (Note 23(iii))	14,718,436	16,369,914	89,991,262	48,944,221
	<u>114,326,433</u>	<u>50,797,669</u>	<u>142,216,309</u>	<u>51,371,943</u>
	<u>114,326,433</u>	<u>50,797,669</u>	<u>410,116,309</u>	<u>319,271,943</u>

In the opinion of the directors, the carrying amounts of trade and other receivables approximate to their fair value.

The group's credit risk arises primarily from trade receivables. The directors are of the opinion that the group's exposure is limited because the debt is widely held. There are no concentrations of credit risk.

The carrying amounts of the company's trade and other receivables are denominated in Kenya shillings.

20. Cash and cash equivalents	Group 2012 Shs	2011 Shs	Company 2012 Shs	2011 Shs
Cash at bank and in hand	<u>153,078,889</u>	<u>63,589,864</u>	<u>50,136,994</u>	<u>5,142,700</u>

The company's cash and bank balances are held with a major Kenyan financial institution and, insofar as the directors are able to measure any credit risk to these assets, it is deemed to be limited.

The carrying amounts of the company's cash and cash equivalents are denominated in Kenya shillings.

21. Trade and other payables	Group 2012 Shs	2011 Shs	Company 2012 Shs	2011 Shs
Current				
Trade payables	47,126,593	22,312,098	269,625	-
Accruals	24,635,966	18,741,990	464,000	659,288
Deposit from sale of plots	1,559,918,482	1,307,385,727	7,250,000	-
Payable on purchase of land	95,000,000	95,000,000	-	-
Other payables	13,115,251	6,331,355	8,108,286	100,105
Payable to related parties (Note 23(iii))	8,919,496	6,250,000	158,768,953	96,164,087
	<u>1,748,715,788</u>	<u>1,456,021,170</u>	<u>174,860,864</u>	<u>96,923,480</u>

NOTES (CONTINUED)

21. Trade and other payables (continued)

In the opinion of the directors, the carrying amounts of trade and other payables approximate to their fair value.

The carrying amounts of the company's trade and other payables are denominated in Kenya shillings.

The maturity analysis of the group's trade and other payables is as follows:

Year ended 31 December 2012

	0 to 1 month Shs	2 to 3 months Shs	4 to 12 months Shs	Total Shs
Trade payables	269,625	46,856,968	-	47,126,593
Accruals	24,635,966	-	-	24,635,966
Deposit from sale of plots	7,250,000	-	1,552,668,482	1,559,918,482
Payable on purchase of land	-	-	95,000,000	95,000,000
Other payables	-	13,115,251	-	13,115,251
Payable to related parties (Note 23(iii))	-	-	8,919,496	8,919,496
	<u>32,155,591</u>	<u>59,972,219</u>	<u>1,656,587,978</u>	<u>1,748,715,788</u>

Year ended 31 December 2011

	0 to 1 month Shs	2 to 3 months Shs	4 to 12 months Shs	Total Shs
Trade payables	-	-	22,312,098	22,312,098
Accruals	18,741,990	-	-	18,741,990
Deposit from sale of plots	-	-	1,307,385,727	1,307,385,727
Payable on purchase of land	-	-	95,000,000	95,000,000
Other payables	-	6,331,355	-	6,331,355
Payable to related parties (Note 23(iii))	-	-	6,250,000	6,250,000
	<u>18,741,990</u>	<u>6,331,355</u>	<u>1,430,947,825</u>	<u>1,456,021,170</u>

The maturity analysis of the company's trade and other payables is as follows:

	Year ended 31 December 2012			
	0 to 1 month Shs	2 to 3 months Shs	4 to 12 months Shs	Total Shs
Trade payables	269,625	-	-	269,625
Accruals	464,000	-	-	464,000
Deposit from sale of plots	7,250,000	-	-	-
Other payables	-	8,108,286	-	8,108,286
Payable to related parties (Note 23(iii))	-	-	158,768,953	158,768,953
	<u>7,983,625</u>	<u>8,108,286</u>	<u>158,768,953</u>	<u>174,860,864</u>

Year ended 31 December 2011

	0 to 1 month Shs	2 to 3 months Shs	4 to 12 months Shs	Total Shs
Trade payables	-	-	-	-
Accruals	659,288	-	-	659,288
Deposit from sale of plots	-	-	-	-
Other payables	-	100,105	-	100,105
Payable to related parties (Note 23(iii))	-	-	96,164,087	96,164,087
	<u>659,288</u>	<u>100,105</u>	<u>96,164,087</u>	<u>96,923,480</u>

NOTES (CONTINUED)

22. Cash from operations

	Group	
	2012 Shs	2011 Shs
Reconciliation of profit/(loss) before tax to cash from operations:		
Profit/(loss) before tax	257,849,696	(285,099,283)
Adjustments for:		
Depreciation on property and equipment (Note 13)	7,517,478	4,361,334
Amortization intangible assets (Note 14)	236,267	236,030
Interest expense (Note 5)	78,471,405	62,743,212
Foreign exchange difference	3,361	131,250
Gain on disposal of property and equipment	(122,463)	(137,500)
Interest income (Note 2)	1,218,016	(1,052,818)
Changes in working capital:		
- amounts receivable on shares	9,175,000	(17,648,500)
- Inventories	61,084,806	(700,402,238)
- trade and other receivables	(63,528,764)	18,245,391
- trade and other payables	292,694,618	1,301,935,816
Cash from operations	<u>642,163,388</u>	<u>383,312,694</u>

23. Related party transactions and balances

	Company	
	2012 Shs	2011 Shs
The following transactions were carried out with related parties:		
(i) Income		
Project management fees	(2,497,794)	31,539,929
Commissions income	(1,200,000)	9,861,913
Premium earned from new projects	21,166,666	-
Dividend income	-	34,140,150
	<u>17,468,872</u>	<u>75,541,992</u>

(ii) Key management personnel compensation

	Group		Company	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
Short term employee benefits	<u>29,221,135</u>	<u>33,680,777</u>	<u>12,273,000</u>	<u>7,173,000</u>

(iii) Outstanding balances arising from payments to/received from related parties

	Group		Company	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
Receivable from related parties (Note 19)	<u>14,718,436</u>	<u>16,369,914</u>	<u>357,891,262</u>	<u>316,844,221</u>

The amounts receivable from related parties are interest free, have no specific dates of repayment and are unsecured.

	Group		Company	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
Payable to related parties (Note 21)	<u>8,919,496</u>	<u>6,250,000</u>	<u>158,768,953</u>	<u>96,164,087</u>

The amounts payable to related parties are interest free, have no specific dates of repayment and are unsecured.

NOTES (CONTINUED)

23. Related party transactions and balances (continued)

	Group	
	2012 Shs	2011 Shs
(iv) Deposit for shares		
Lakeview Heights Development Limited	18,440,000	-
Llango Development Limited	14,891,000	-
Mitini Scapes Development Limited	10,170,500	-
Kikwetu Development Limited	<u>7,247,000</u>	<u>-</u>
	<u>50,748,500</u>	<u>-</u>

24. Risk management objectives and policies

Financial risk management

The group's activities expose it to a variety of financial risks: market risk (including interest rate risk), credit risk and liquidity risk.

Risk management is carried out by the management under policies approved by the board of directors. Management identifies and evaluates financial risks in close co-operation with various departmental heads. The board provides written principles for overall risk management, as well as written policies covering specific areas, such as interest rate risk and credit risk.

(a) Market risk

- Interest rate risk

The group's exposure to interest rate risk arises from non-current borrowings/current borrowings. Financial assets and liabilities obtained at different rates expose the company to interest rate risk.

At 31 December 2012, if interest rates at that date had been 1 percentage point lower with all other variables held constant, post-tax profit for the year would have been Shs. 525,206 (2011: 393,702) higher, arising mainly as a result of lower interest expense on variable borrowings.

(b) Credit risk

Credit risk arises from cash and cash equivalents and deposits with banks and financial institutions as well as credit exposures to customers, including outstanding receivables.

Management assesses the credit quality of the customer, taking into account their financial position, past experience and other factors.

Individual limits are set based on internal or external information in accordance with limits set by the management. The utilisation of credit limits is regularly monitored.

No credit limits were exceeded during the reporting year, and management does not expect any losses from non-performance by these counterparties.

None of the financial assets that are fully performing have been renegotiated in the last year.

Exposure to this risk has been quantified in each financial asset note in the financial statements along with any concentration of risk.

NOTES (CONTINUED)

24. Risk management objectives and policies (continued)

(c) Liquidity risk

Cash flow forecasting is performed by the finance department of the group by monitoring the company's liquidity requirements to ensure it has sufficient cash to meet operational needs while maintaining sufficient headroom on its undrawn committed borrowing facilities at all times so that the group does not breach borrowing limits or covenants on any of its borrowing facilities.

Prudent liquidity risk management implies maintaining sufficient cash, the availability of funding through an adequate amount of committed credit facilities and the ability to close out market positions. Due to the dynamic nature of the underlying businesses, the company's management maintains flexibility in funding by maintaining availability under committed credit lines.

Notes 11 and 21 disclose the maturity analysis of borrowings and trade and other payables respectively.

25. Capital management

Internally imposed capital requirements

- to provide an adequate return to shareholders by pricing products and services commensurate with the level of risk;
- to comply with the capital requirements set out by the group's bankers;
- to safeguard the entity's ability to continue as a going concern, so that it can continue to provide returns for shareholders and benefits for other stakeholders; and
- to maintain a strong asset base to support the development of business.
- to maintain an optimal capital structure to reduce the cost of capital.

The group sets the amount of capital in proportion to risk. The company manages the capital structure and makes adjustments to it in the light of changes in economic conditions and the risk characteristics of the underlying assets. In order to maintain or adjust the capital structure, the company may adjust the amount of dividends paid to shareholders, return capital to shareholders, issue new shares, or sell assets to reduce debt. Consistently with others in the industry, the company monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided capital. Net debt is calculated as total debt (as shown in the statement of financial position) less cash and cash equivalents. Capital comprises all components of equity (i.e. share capital, share premium and other reserves retained earnings).

The gearing ratios at 31 December 2012 and 2011 were as follows:

	Group		Company	
	2012 Shs	2011 Shs	2012 Shs	2011 Shs
Total borrowings (Note 11)	197,112,039	558,347,904	39,829,048	43,392,855
Less cash and cash equivalents (Note 20)	153,078,889	63,589,864	50,136,994	5,142,700
Net debt	44,033,150	494,758,040	(10,307,946)	38,250,155
Total equity	389,765,145	316,844,399	474,687,545	461,317,095
Gearing ratio	0.1:1	1.6:1	-	0.1:1

26. Incorporation

Home Afrika Limited is incorporated in Kenya under the Companies Act as a public limited liability company and is domiciled in Kenya.

27. Presentation currency

The financial statements are presented in Kenya Shillings (Shs).

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COMPANY STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

	Notes	2012 Shs	2011 Shs
Revenue		172,718,872	75,541,992
Cost of sales		(30,000,000)	-
Gross profit		142,718,872	75,541,992
Other operating income		521,015	775,158
Selling and distribution		(7,274,254)	-
Administrative expenses		(61,185,282)	(61,207,521)
Other operating expenses		(10,143,806)	(9,088,411)
Operating profit		64,636,545	6,021,218
Finance costs		(12,537,623)	(1,001,541)
Profit before tax		52,098,922	5,019,677
Tax charge		(17,056,472)	9,420,866
Profit for the year		35,042,450	14,440,543
Total comprehensive profit for the year		35,042,450	14,440,543

SCHEDULE OF EXPENDITURE

1. SELLING AND DISTRIBUTION	Group 2012 Shs	2011 Shs	Company 2012 Shs	2011 Shs
Marketing fees	23,835,109	36,616,264	4,200,223	-
Commissions	11,010,266	50,834,362	3,074,031	-
Advertising and sales promotion	6,850,205	15,088,196	-	-
Meeting expenses	731,699	716,100	-	-
Total selling and distribution expenses	42,427,279	103,254,922	7,274,254	-
2. ADMINISTRATIVE EXPENSES				
Employment:				
Salaries and wages	42,978,781	31,524,452	21,882,334	17,779,996
Medical	2,406,285	150,000	428,001	-
Staff training and welfare	162,802	-	32,450	-
Total employment costs	45,547,868	31,674,452	22,342,785	17,779,996
Other administrative expenses:				
Committee allowance expense	22,550,250	24,885,813	19,300,250	16,114,313
Consultancy	8,045,476	9,463,204	7,794,976	7,084,546
Meetings expenses	6,670,885	8,794,964	2,682,963	2,544,964
Legal and professional fees	6,769,753	7,787,154	916,980	7,389,856
Project management fees	4,020,475	-	-	-
Vehicle running	3,353,607	3,748,537	934,561	517,432
Advertisement and sales promotion	2,855,884	9,066,460	750,052	2,606,030
Office expenses	2,192,419	1,330,835	1,448,055	1,188,482
Postages and telephones	2,053,423	1,988,930	1,930,782	1,611,781
Audit fees				
- current year	2,034,000	2,734,112	464,000	925,100
- Under provision in prior years	188,000	-	-	-
Travelling and accommodation	1,522,670	1,170,236	1,199,185	1,170,236
Donations	851,495	1,028,213	500,000	743,213
Computer expenses	767,682	399,961	281,402	384,161
Printing and stationery	456,000	1,034,719	328,645	726,951
Bank charges and commissions	429,356	233,051	102,046	54,460
Secretarial fees	179,600	-	179,600	-
Farm expenses	50,000	324,559	29,000	366,000
Hire of conference	29,000	366,000	-	-
Penalties	4,232	259,470	-	-
Directors allowances	-	6,678,815	-	-
Other administration expense	-	279,468	-	-
Total other administrative expenses	65,024,207	81,574,501	38,842,497	43,427,525
Total administrative expenses	110,572,075	113,248,953	61,185,282	61,207,521
3. OTHER OPERATING EXPENSES				
Establishment:				
Depreciation on property and equipment	7,517,478	4,361,334	5,224,328	3,608,879
Repairs and maintenance	4,161,595	1,348,723	295,884	293,878
Service charge	2,962,119	4,270,536	2,562,119	1,771,926
Insurance	2,475,051	5,352,157	1,456,950	2,598,422
Office security	2,437,759	3,446,277	-	143,272
Amortization intangible asset	236,267	236,030	-	-
Electricity and water	770,300	632,391	454,525	298,534
Cleaning	324,800	-	-	-
Office rent	417,600	824,750	-	373,500
Licence and subscriptions	274,650	241,250	150,000	-
Total other operating expenses	21,577,619	20,713,448	10,143,806	9,088,411

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